

QRAA

2012–13 Annual Report

QRAA Annual Report 2012-13

Welcome

Welcome to the QRAA Annual Report for 2012-13.

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (the Act), reporting to the Minister for Agriculture, Fisheries and Forestry.

We provide specialist financial administrative services to the Queensland Government as well as to state and territory governments throughout Australia and for the Australian Government in accordance with the Act.

This report provides a summary of QRAA's achievements, performance, outlook and financial position for the 2012-13 financial year in accordance with legislative reporting obligations.

Interpreter service statement



The Queensland Government is committed to providing accessible services to Queenslanders from all culturally and linguistically diverse backgrounds. If you have difficulty in understanding the annual report, you can contact us on **Freecall 1800 623 946** and we will arrange an interpreter to effectively communicate the report to you.

Public availability and feedback

A copy of this Annual Report is available at www.qraa.qld.gov.au. A checklist outlining the annual reporting requirements can be accessed at www.qraa.qld.gov.au.

To provide feedback on this report, please contact us:

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To the Minister

30 September 2013

The Honourable John McVeigh
Minister for Agriculture, Fisheries and Forestry
GPO Box 46
BRISBANE QLD 4001

Dear Minister

I am pleased to present the QRAA Annual Report for 2012-13.

This report summarises QRAA's corporate performance for 2012-13 and has been endorsed by the QRAA Board of Directors.

I certify that this Annual Report complies with:

- the prescribed requirements of the *Rural and Regional Adjustment Act 1994* and the *Financial Accountability Act 2009*, and
- the detailed requirements set out in the *Annual Report requirements for Queensland Government agencies (2012 – 2013 reporting period)*.

QRAA is proud of its achievements in 2012-13 and will continue to support the Queensland Government's objectives of doubling agricultural production by 2040 and growing a four pillar economy through tourism, agriculture, resources and construction.

Yours sincerely

Wayne Carlson
Chairperson

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Our year in review

Chairperson's and Chief Executive Officer's report

Our Performance

The past year has proved to be another challenging yet rewarding year for QRAA.

In the year ended, 30 June 2013, QRAA approved more than 9,400 applications totalling over \$166 million in financial assistance across all loan, grant, rebate and subsidy programs.

Application volumes and the dollar value of assistance were lower in 2012-13 than in the previous two years, as a result of the magnitude and timing of disaster events and the closure of the Queensland Government Solar Hot Water Rebate Scheme (QGSWRS).

Our Programs

QRAA's activities remained significant in 2012-13 with eight new programs secured, including Tropical Cyclone Oswald and biosecurity and fisheries compensations programs.

Three disaster schemes were also implemented in 2012-13 following Tropical Cyclone Oswald. At 30 June 2013 over 7,000 applications and \$83 million in disaster recovery assistance had been approved under *Natural Disaster Relief and Recovery Arrangements* (NDRRA) jointly funded by the Australian and Queensland State Government.

A significant increase in demand for First Start and Sustainability loans under the Queensland Government Primary Industry Productivity Enhancement Scheme (PIPES) resulted in 250 applications and a record \$78.9 million being approved to new and existing producers throughout the financial year.

QRAA's loan portfolio increased by over \$23 million (as compared to June 2012 restated balance) reaching more than \$330 million at 30 June 2013. The growth reflects strong demand for productivity loans to boost Queensland's primary production sector and the ongoing need for natural disaster assistance loans by primary producers, businesses and non-profit organisations.

Our people and our clients

The results of our biennial client satisfaction survey provided a great boost to all QRAA staff - 86 per cent of clients surveyed indicated that they were satisfied or very satisfied with the service received from QRAA. These results are particularly pleasing as they include feedback from clients who were not actually successful with their application for assistance from QRAA.

Government agencies who engaged QRAA to deliver programs on their behalf were also very satisfied with QRAA.

All survey respondents indicated that they would definitely recommend QRAA to other agencies and agreed that QRAA provides a professional, efficient, reliable, trustworthy and responsive service.

Our Financial Performance

In 2012-13, QRAA achieved an operating surplus of \$10.24 million. This was an increase of \$9.44 million from the previous year.

During 2012-13, QRAA approved \$69.74 million in grants, rebates and subsidies, including \$66 million in NDRRA assistance, and \$1.46 million under QGSWRS). For the same period, QRAA approved \$96.49 million in loans under both PIPES, and NDRRA assistance.

As a result of the reduction in activity relating to natural disasters, QRAA achieved a significant reduction of its normal operating expenses of approximately \$2.94 million, or 20 per cent, in 2012-13. This result reflects one of QRAA's unique strengths in terms of its ability to upscale and downscale to respond to significant events such as natural disasters.

In 2012-13, QRAA received a core funding operating grant from Queensland Government of \$9.08 million. QRAA also received \$0.53 million in fees for administering assistance programs on behalf of various government departments. Fee for service revenue is expected to increase in 2013-14 with a range of new schemes on track to be implemented early 2013-14.

The year ahead

QRAA will continue to provide a broad, flexible and cost effective range of administrative services to assist government agencies to deliver financial programs to the highest standards.

We will continue to build our capabilities through the acquisition and delivery of new programs in Queensland and interstate and will remain flexible and responsive to government priorities and the needs of our growing client base.

QRAA's 2013-17 Strategic Plan provides the framework that will enable the organisation to progress our strategic intent of achieving self-sufficiency and vision of being the preferred provider of government financial assistance programs.



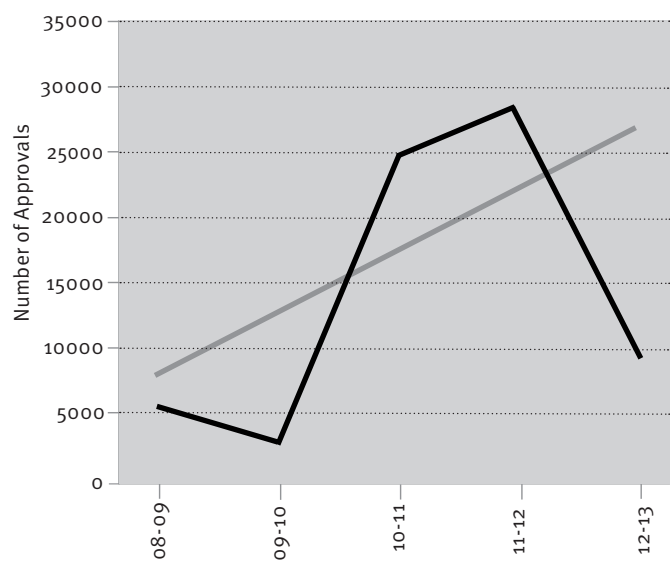
Wayne Carlson
Chairperson



Colin Holden
Chief Executive Officer

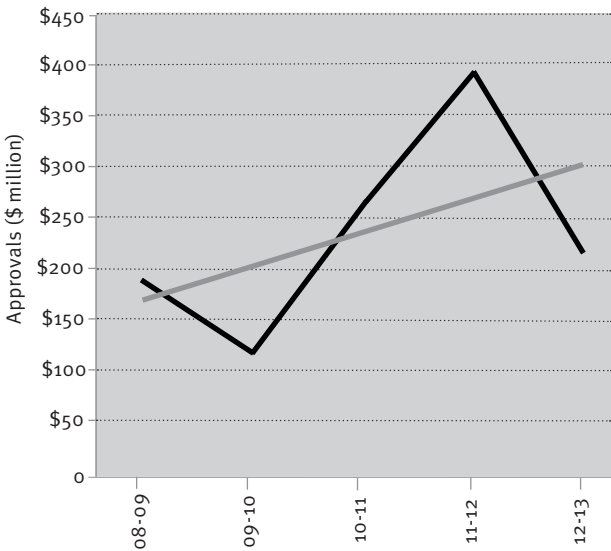
Five year snapshot

Applications approved



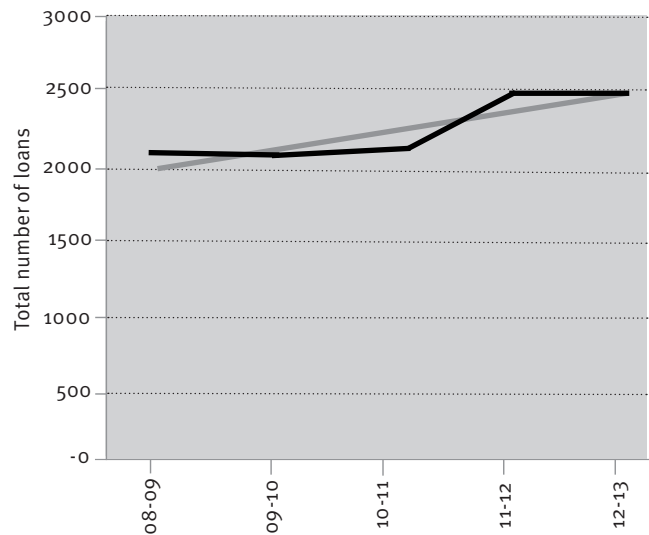
QRAA approved 9,480 applications across all financial assistance programs in 2012-2013. This represents a return to more usual activity.

Program approvals



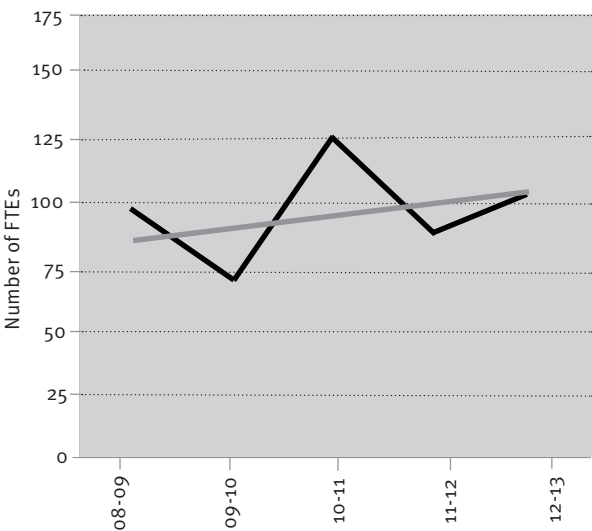
In 2012-13, QRAA approved more than \$166 million in financial assistance in the form of loans, rebates, grants and subsidies.

Total number of loans



The continued expansion of QRAA's loan portfolio highlights the community need and value of PIPES and NDRRA loans.

Staffing



As at 30 June 2013, QRAA employed 101 full-time equivalent employees (FTE) across all business units. Staff numbers vary throughout the year to match business needs.

— Total number — Trend line

Our organisation

About us

Who we are

QRAA is a statutory authority of the Queensland Government established under the *Rural and Regional Adjustment Act 1994* (the Act), reporting to the Minister for Agriculture, Fisheries and Forestry.

What we do

QRAA is a specialist administrator of government financial assistance programs including loans, grants, rebates and subsidies.

Since 1994, QRAA has established a reputation for cost-effective, timely, robust and transparent service delivery.

Through the assistance programs it administers, QRAA contributes to Queensland Government objectives by:

- fostering the development of a more productive and sustainable rural and regional sector in Queensland
- supporting the state's economy by providing assistance to primary producers, small businesses and other elements of the state's economy
- giving assistance by administering programs for the Australian Government and other states in rural and regional sectors outside Queensland.

QRAA's core responsibility is to administer the Queensland Government's Primary Industry Productivity Enhancement Scheme and when required, supports the delivery of selected Natural Disaster Relief and Recovery Arrangements assistance for primary producers, businesses and non-profit organisations (jointly funded by the Queensland and Australian Governments).

QRAA is also empowered under the Act to deliver additional programs and services to state and territory governments throughout Australia and for the Australian Government.

QRAA's administration services are complemented by a dedicated and responsive customer service unit which includes:

- direct access to experienced Customer Service Officers based in the Brisbane head office via the **Freecall 1800 623 946** number
- personalised support throughout regional Queensland through our network of eight Client Liaison Officers located in Bundaberg, Innisfail, Kingaroy, Longreach, Mackay, Rockhampton, Roma and Toowoomba.

Our values

QRAA's operations are governed by its commitment to six core values:

Continual improvement

we will develop a higher level of excellence in the delivery of high-quality, efficient, timely and responsive services.

Equity

we ensure that our performance demonstrates transparency, fairness, consistency and professionalism.

Integrity

we act with honesty, empathy and confidentiality in all of our dealings.

Responsibility

we will deliver on our commitments by taking ownership and responsibility for our decisions.

Respect and recognition

we value and acknowledge the contribution of our staff and commit to providing recognition, development and the giving and receiving of constructive feedback.

Harmony and satisfaction

we provide a safe, equitable, harmonious and challenging work environment encouraging teamwork and creativity.

Our vision



To be the preferred provider of government financial programs and services.

Strategic intent



To achieve self sufficiency.

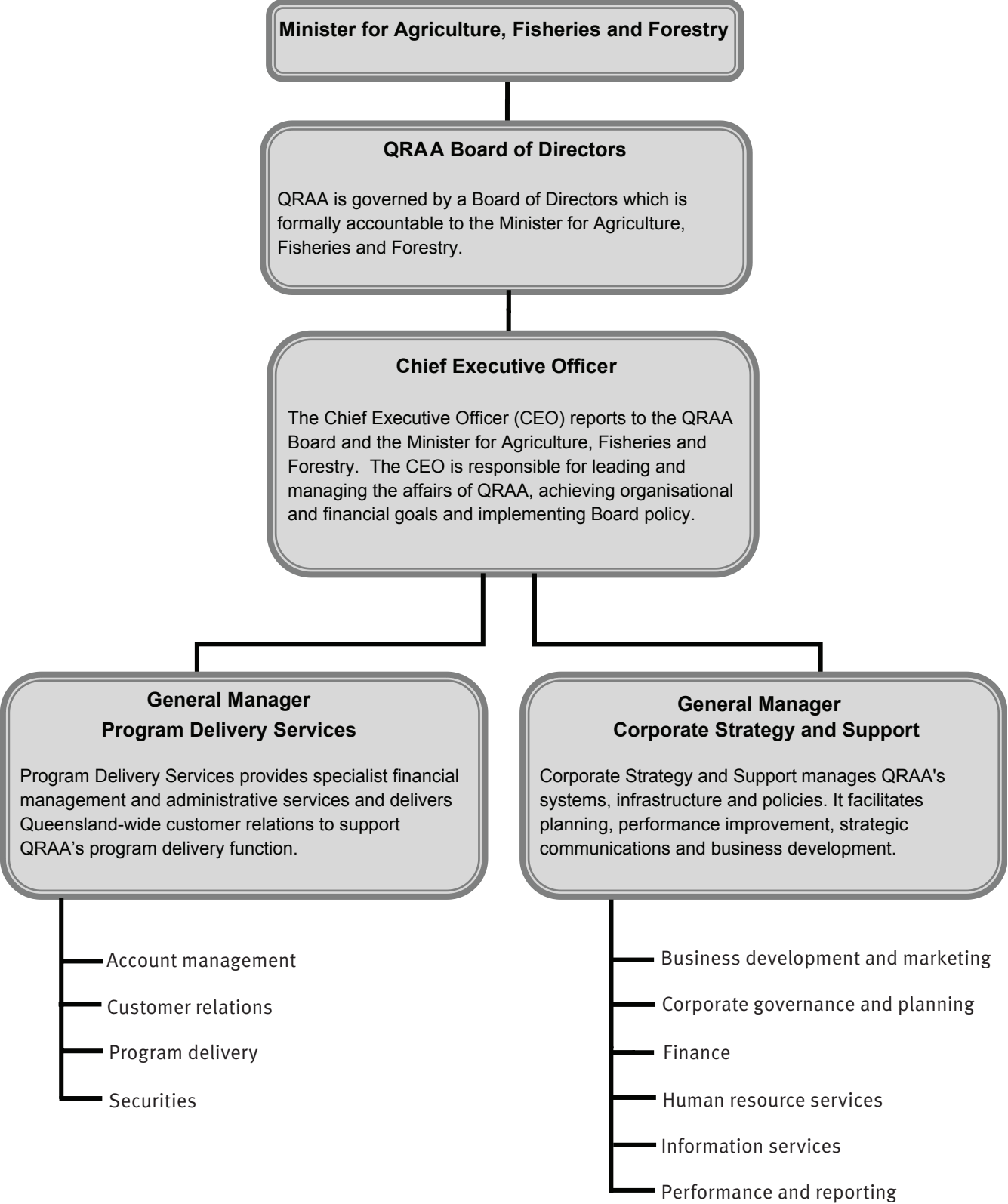
Strategic framework



QRAA's Strategic Plan 2012-16 outlined four strategic priorities that guide and support the achievement of our vision and strategic intent. These are:

1. Cost leadership
2. Service excellence
3. Business Growth
4. Capability

Organisational structure



Corporate governance

QRAA Board of Directors

QRAA's Board of Directors (the Board) is responsible for the way QRAA performs its functions and exercises its powers.

The Board consists of seven directors, including representatives from Queensland industry as well as the Department of Agriculture, Fisheries and Forestry (QDAFF) and Queensland Treasury and Trade.

The Board's role includes:

- approving strategies and operational, administrative and financial policies
- ensuring QRAA performs its functions properly, effectively and efficiently
- annual review of the performance of QRAA's CEO.

The Board is formally accountable to the Minister for Agriculture, Fisheries and Forestry. During 2012-13, the Board reported to the Minister on QRAA's achievements on a quarterly basis.

Under the Act, the Board must meet at least once every three months. The Chairperson may call a Board meeting more frequently as required.

During 2012-13 the Board met 13 times.

Board committees

The Board has two sub-committees that support its decision-making. These are the Audit and Risk Management (A&RM) Committee and the Remuneration Committee.

Audit and Risk Management Committee

The A&RM Committee consists of three directors with the QRAA Chairperson and QRAA CEO attending as ex-officio members. The Committee met six times during 2012-13.

During 2012-13, the Committee undertook independent reviews to improve QRAA's operations and outputs and advised the Board on:

- financial statements
- risk management
- internal controls
- performance management
- internal and external audit
- compliance
- reporting.

Director	Board meetings		Audit and Risk Management Committee meetings		Remuneration Committee meetings		'Special' meetings *	
	Eligible to attend	Attended	Eligible to attend	Attended	Eligible to attend	Attended	Eligible to attend	Attended
Wayne Carlson	11	11	6	6	3	3	2	2
Joy Cooper	5	5	3	3	2	2	1	1
Christopher Hood	10	9	-	-			2	2
Elizabeth Woods			-	-			2	2
John O'Connell	3	2	2	2	-	-	-	-
Drew Ellem	7	6	3	2			2	2
John Pollock	11	11	6	6	1	1	2	2
Georgie Somerset	11	11	3	3	3	3	2	2
Damian Morgan	6	3	-	-	-	-	1	0

NOTES

The restructure of Queensland Treasury (September 2012) saw John O'Connell's responsibilities change and therefore the Under-Treasurer delegated directorship on QRAA's Board to Drew Ellem. On 12 June 2013, Drew Ellem was seconded to the Department of Premier and Cabinet. As at 30 June 2013, advice was pending with regards to a new delegate.

Christopher Hood was appointed 19 July 2012 replacing Director, Sarah Israel who resigned on 6 June 2012.

Joy Cooper retired from QRAA's Board of Directors and as Chair of the A&RM Committee and member of the Remuneration Committee on 2 December 2012. Damian Morgan was appointed as a director on 3 December 2012.

John Pollock was appointed as Chair of the A&RM Committee on 18 December 2012. Georgie Somerset was appointed the third member of the A&RM Committee by the Board on 18 December 2012.

** Special meetings [27-29 November - Fassifern Valley - Brisbane] and [28-30 May - Stanthorpe-Warwick Regional Trip].*

Corporate governance (cont.)

Remuneration Committee

The Remuneration Committee includes two directors and meets annually, with the QRAA CEO attending as an ex-officio member.

As part of the budget process, the Committee reviewed and advised the QRAA Board on the performance of senior management by means of a remuneration review.

Measuring performance

Organisational performance goals and strategic targets are established as a result of the Board's strategic planning and budgeting processes and are subject to endorsement by the Minister for Agriculture, Fisheries and Forestry.

Organisational performance is monitored and reported against objectives and targets set out in QRAA's Strategic Plan.

The Remuneration Committee and the Board periodically review the performance of QRAA's CEO and other senior executives.

Risk management

QRAA's risk management framework assists staff to implement risk management practices and facilitates a risk management culture.

A risk management reference group, comprised of representatives of QRAA's business units, assists and supports the Senior Executive Team and the A&RM Committee maintain an integrated risk management approach to:

- promote and further develop the risk management framework and act as risk champions to foster a culture of risk management
- review and consider the requirements and issues raised applicable to legislation, standards and guidelines
- effectively manage, monitor and review risk exposures and treatments
- promote emergency and business continuity management preparedness
- review fraud and corruption management practices
- identify emerging risks and opportunities and develop appropriate action plans to manage those risks and opportunities.

Strategies that supported successful risk management in 2012-13 included:

- managing the QRAA Risk Register, incorporating

the status of risk treatments (reviewed quarterly by the QRAA Senior Executive Team, QRAA's A&RM Committee and the QRAA Board)

- undertaking a Risk Management Health Check performed by QRAA's internal audit providers
- reviewing and updating the risk management framework and risk management guidelines and tools to improve accessibility and enhance employee engagement/ownership
- commencing a data analytics work plan
- testing emergency and business continuity management preparedness.

Internal audit

Deloitte Touche Tohmatsu (Deloitte) provided internal audit services during the year. This internal audit function assisted QRAA in achieving strategic goals by providing an independent review of identified areas.

The reviews undertaken in 2012-13 assisted with:

- ensuring financial assistance programs are administered appropriately
- reliability and integrity of financial, human resource, payroll and information services processing and systems
- legislative compliance
- appropriate management of operational areas and projects.

Deloitte delivered these services through the development and monitoring of an annual audit plan of reviews. All final reports were considered by the QRAA A&RM Committee.

Ethical standards

QRAA requires all directors, managers and employees to act with integrity and objectivity and to maintain high standards of ethical behaviour in the execution of their duties.

The QRAA Code of Conduct requires officers to:

- act with integrity and impartiality, ensuring high standards of workplace behaviour and personal conduct
- promote the public good through excellence in customer service, community engagement and working with other agencies
- commit to the system of government through conscientious service to QRAA and government
- act with accountability and transparency to support high standards of administration.

Corporate governance (cont.)

All new appointees to QRAA provide a statement indicating that they have read and understood the QRAA Code of Conduct. In May 2013 all existing employees were required to acknowledge that they understand the Code of Conduct and responsibilities as part the ongoing reinforcement of ethical standards.

All QRAA policies and procedures are referenced to the Code of Conduct and are made available to staff via the QRAA intranet. Internal communications support ongoing awareness, understanding and compliance.

To support the QRAA Code of Conduct and to further strengthen connectivity with the *Public Sector Ethics Act 1994*, targeted training was conducted on:

- media management
- asset disposal and delegations
- finance controls
- Information Technology (IT) security including user access and password security
- procurement
- giving and receiving gifts and benefits.

In addition, the QRAA Fraud Management Control Plan and Risk Register were reviewed and updated in 2012-13 to support effective fraud management.

Policy framework

During 2012-13, QRAA continued to focus on the development and review of its corporate policies and procedures in line with a three-year cyclical work plan. This ensured ongoing connectivity with legislation and government directives, audit outcomes and best practice.

Policies and procedures approved by the QRAA Board are made available centrally on the QRAA intranet and implemented with the support of education and training, monitoring and review mechanisms.

During 2012-13, a total of 34 policies and procedures were reviewed or developed.

Information systems and recordkeeping

Information systems and recordkeeping are managed in accordance with the *Public Records Act 2002* and other key information standards, policies and guidelines that form the Queensland Government Recordkeeping Policy Framework.

Development and approval of the QRAA Business Classification Scheme (BCS) was also completed in 2012-13 which forms the foundation of a new organisational network directory with implementation commencing in

2013-14. A significant recordkeeping training program was conducted in 2012-13 to support the use of the BCS.

During 2012-13, QRAA completed a number of activities that contributed to the compliance with Information Standard 40 Recordkeeping, including reviewing procedures to support the management of document retention and disposal and the implementation of the BCS, including naming conventions, version control and file and folder creations framework/protocols.

Open data

For 2012-13, QRAA's consultancies will be published through the Queensland Government's Open Data website (www.data.qld.gov.au) instead of in the annual report.

Right to information

The *Right to Information Act 2009* (RTI Act) is the Queensland Government's approach to providing the community with access to information controlled by government.

QRAA supports the principles of the RTI Act by operating in an open, transparent and accountable manner while protecting the privacy of clients and staff.

QRAA is committed to releasing as much information as possible and provides access to information in accordance with the legislation, as well as publishing available information on the QRAA website.

During 2012-13, QRAA processed two requests for access to information in accordance with the RTI Act. Given the nature of the information, QRAA was not required to provide a disclosures log.

Information privacy

The *Information Privacy Act 2009* (IP Act) gives all members of the public a legally enforceable right to access and amend their personal information. The IP Act also requires QRAA to safeguard the personal information that it holds and only disclose such information to the individual that the information relates to, where consent has been provided or it is required and authorised under law.

During 2012-13, QRAA did not process any requests for personal information in accordance with the IP Act.

Work health and safety

QRAA is committed to providing a work environment that is conducive to protecting the health, safety and well-being of QRAA workers and visitors to the workplace. QRAA is bound by the *Work Health and Safety Act 2011*

Corporate governance (cont.)

(WHS Act), *Work Health and Safety Regulation 2011* and relevant codes of practice.

All QRAA employees were provided with training on how to perform their work safely and without risk to their own or others' health and safety. New employees were informed about the WHS Act and QRAA Work Health and Safety Policy and Procedure through induction programs.

To support staff returning to work after illness or injury, QRAA has a workplace rehabilitation and return to work coordinator. QRAA has workplace accreditation from Q-COMP for its Workplace Rehabilitation Policy and Procedure.

To support the wellbeing of QRAA staff, influenza vaccinations were again offered to all staff prior to the onset of winter, with 46 per cent participating in the program (an increase of 7 per cent on the 2011-12 participation rate).

QRAA workforce profile

QRAA staff provide a strong foundation for the effective administration of financial assistance programs.

QRAA's staffing levels are demand driven and vary to accommodate business needs such as responding to disaster events or new programs secured.

As at 30 June 2013, QRAA employed 101 full-time equivalent (FTE) staff as follows:

QRAA employees by employment type (as at 30 June 2013)

	2011-12	2012-13	MOVEMENT
Permanent	62.5	70	↑
Temporary	28.3	31	↑
Casual	0	0	—
Total (FTE)	90.8	101	↑

QRAA employees (as at 30 June 2013)

	2011-12	2012-13	MOVEMENT
Management (Ao7)	13.0	15.0	↑
Professional (Ao5/6/7)	49.2	59	↑
Administrative (to Ao4)	28.6	27	↓
Total (FTE)	90.8	101	↑

QRAA's permanent officer retention rate for 2011-12 was 89 per cent. The permanent officer separation rate for this period was 11 per cent.

Recruitment

Recruitment activity in 2012-13 primarily occurred in response to Tropical Cyclone Oswald. Increases in staffing for this disaster event offset the reduction in temporary staff associated with the wind down and closure of older schemes. Therefore, overall net staffing figures remained largely unchanged.

The voluntary turnover rate of 9.47 per cent, down from the previous year (10.65 per cent), is considered to be a very good result in light of potential instability caused by changes in the workforce as temporary officers reached the end of their contracts and a number of mature officers entered retirement.

The organisation continued to successfully fill vacant positions on an as needs basis and used QRAA's Employee Value Proposition to promote the benefits of working for QRAA.

Professional development

QRAA's Corporate Training Committee was aided by the addition of a Training Coordinator. This resource helped research, coordinate and record training initiatives throughout the year and recorded staff training requirements and training undertaken. This improved approach benefitted individuals and supported QRAA's strategic objectives - ensuring staff were equipped with the appropriate skills and knowledge to meet current and future business needs.

Many staff also undertook formal studies in finance, accounting, management and project management. Others participated in a range of professional and personal development activities including computer training, job specific (technical training), marketing and resilience training.

Performance and development plans

QRAA's staff Performance and Development Plan (PDP) process commences in July each year. During 2012-13 each employee, together with their team leader or manager, developed a PDP in line with QRAA's Strategic Plan and Operational Plans. The process placed emphasis on matching employee training and development to business requirements and QRAA's strategic direction.

Industrial and employee relations

In the 2012-13 financial year QRAA established a number of consultative committees and working groups to develop policies and procedures, review business development opportunities and to assist in planning and establishing new programs.

QRAA's consultative employee relations frameworks provide a mechanism to successfully address any employee concerns.

Early retirement, redundancy and retrenchment

QRAA did not opt-in to the program of redundancies implemented by the Queensland Government during 2012-13, however, one retrenchment was processed in accordance with the standard provisions of the QRAA Award.

Voluntary Separation Program

A Voluntary Separation Program was implemented by the Queensland Government during 2011-12. The program ceased during 2011-12. QRAA did not opt-in to this program. Accordingly, no QRAA employees received a voluntary separation package during 2012-13.

Looking ahead

QRAA will continue to review employment arrangements to ensure appropriate staffing resources are available to meet workloads associated with existing programs and emerging new business opportunities. We will also ensure we retain our capacity to respond quickly to any future natural disaster events.

Our performance

Organisational performance summary

Our priorities	Our objectives	Measuring performance
1. Cost leadership	Improve organisational efficiency and performance	Arrears to loan portfolio
		Operating budget performance
		Operating revenue performance
2. Service excellence	Maintain and continuously improve the quality and timeliness of service delivery to meet the needs of our external and internal stakeholders	Client satisfaction with QRAA's services
		Program owner satisfaction with QRAA's administration
		Applications processed within standard response indicators
3. Business Growth	Maximise uptake of the productivity enhancement scheme	Productivity loan approved amount against budget
	Secure new programs in Queensland and Australia	New programs administered
4. Capability	Ensure that the capabilities of our staff are aligned to business requirements	Staff achievement within personal development plans
	Ensure that our corporate systems and processes are robust and aligned with business requirements	Annual audit program recommendations implemented within agreed timeframes
	Ensure that our ICT systems and processes are robust and meet our current and future business needs	Develop, implement and monitor a four year Strategic Information Communications Technology Plan
	Promote a culture that empowers and motivates staff to excel in reflecting our values	Staff satisfaction rate result from Staff Survey

2012-13 target/ Estimate	2012-13 actual	Commentary			2013-14 Target/ Estimate
3%	0.73%	✓	Loan arrears remained well below the performance target, reflecting QRAA's continued commitment to effective loan management.	3%	
0%	-62.5%	✗	This outcome reflects an additional expense from applying Australian Accounting Standard AASB139. The additional expense represents the fair value of concessions on loans that were advanced in 2012-13 to primary producers and small businesses.	0%	
0%	44.42%	✓	This outcome was caused by the higher than projected level of interest earned from QRAA's loan portfolio, as a result of applying AASB139 to loans offered at concessional rates.	0%	
80%	86%	✓	On average, 86% of clients (approved and declined) are satisfied or very satisfied with QRAA's services. Despite the exponential increase in application volumes over the past two financial years, satisfaction levels have remained stable.	-	
75%	100%	✓	All program owners surveyed were satisfied or very satisfied with QRAA's service. This outstanding result reflects the findings of an online survey of government agencies who engaged QRAA to administer programs or deliver services on their behalf during 2012-13.	75%	
85%	87.42%	✓	The record volume of productivity loan applications received placed significant pressure on QRAA's processing capacity during 2012-13, despite this, 87.42% of applications received were processed within the standard turnaround times established for each scheme.	85%	
95%	144%	✓	For the second successive year, QRAA exceeded the \$60 million budget target - approving a record \$78.9 million in First Start and Sustainability Loans.	95%	
3	8	✓	QRAA expanded into new markets, delivered on government priorities and supported organisational sustainability by administering eight new programs/ services in 2012-13.	3	
80%	100%	✓	Performance reviews completed in 2012-13 established staff achievements against personal development plans.	80%	
			All reviews were undertaken in accordance with the annual audit plan with final reports considered by the QRAA Audit and Risk Management Committee.		
100%	100%	✓	ICT Strategic Plan was developed and incorporated into QRAA's strategic planning framework 2013-2017.		
80%	86.2%	✓	QRAA staff satisfaction levels have remained stable over the past two years with the findings of the staff survey returning an 86.2% overall staff satisfaction level.	80%	

QRAA program portfolio

PROGRAM OWNER	PROGRAM	PURPOSE OF PROGRAM / SERVICE
Productivity enhancement		
Queensland Government	First Start	Provide loans at concessional rates of interest to an applicant in the first years of establishment of a primary production enterprise in Queensland.
	Sustainability	Provide concessional loans to primary producers to implement systems and management practices that enhance sustainable primary production in Queensland.
Natural disaster		
Australian and Queensland Governments <i>(Natural Disaster Relief and Recovery Arrangements)</i>	Natural Disaster Assistance Scheme Individually Disaster Stricken Properties	Assist in meeting the recovery needs of primary producers affected by isolated disaster events outside of declared local government areas.
	Natural Disaster Assistance Scheme Queensland Flooding and Cyclones (January to April 2010)	Assist primary producers and small businesses pay for costs arising out of direct damage.
	Special Disaster Flood Assistance Scheme (March 2010)	Assist primary producers and small businesses pay for costs arising out of direct damage.
	Special Disaster Flood Assistance Scheme Queensland Floods (November 2010 - January 2011)*	Assist primary producers, small business and non-profit organisations pay for costs arising out of direct damage.
	Special Disaster Assistance Scheme Tropical Cyclone Yasi*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Queensland Floods (November 2010 - January 2011)*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Tropical Cyclone Yasi*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Exceptional Disaster Assistance Scheme Queensland Floods (November 2010 - January 2011)*	Assist primary producers and businesses essential to key economic supply chains and regional employment and non-profit organisations that play a significant role in supporting the local community, to pay re-establishment costs arising out of direct extreme damage.
	Exceptional Disaster Assistance Scheme Tropical Cyclone Yasi*	Assist primary producers and businesses essential to key economic supply chains and regional employment and non-profit organisations that play a significant role in supporting the local community, to pay re-establishment costs arising out of direct extreme damage.
	Special Disaster Assistance Scheme Western Queensland Tropical Low (February 2012)*	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Western Queensland Tropical Low (February 2012)*	Assist primary producers and small businesses pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Western Queensland Tropical Low (February 2012) - Non Profit organisations	Assist non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Far North Queensland Bushfires 2012	Assist primary producers pay for costs arising out of direct damage.
	Special Disaster Assistance Scheme Tropical Cyclone Oswald	Assist primary producers, small businesses and non-profit organisations pay for costs arising out of direct damage.
	Natural Disaster Assistance Scheme Tropical Cyclone Oswald	Assist primary producers and small businesses pay for costs arising out of direct damage.
	Exceptional Disaster Assistance Scheme Tropical Cyclone Oswald	Assist primary producers and businesses to pay re-establishment costs arising out of direct extreme damage.
Drought Assistance		
Queensland Government	Drought Carry-On Scheme and Drought Recovery Scheme	Assist primary producers who are carrying on primary production enterprises in drought affected areas to recover from the impacts of the drought.
Australian and Queensland Governments	Rural Adjustment Scheme - Exceptional Circumstances (primary producers and small business)	Assist affected primary producers and small businesses if, had exceptional circumstances not happened, their enterprises would have long term prospects of profitability and sustainability.
Adjustment		
Queensland Government	Queensland East Coast Commercial Net Fishing Reduction Scheme	To make the Queensland East coast net fishery more sustainable by the voluntary surrender of 'N1' and 'N2' licences under a competitive tender.
	Subsidised Interest Rate Scheme for Pastoralists and Service Businesses involved in Live Cattle Exports to Indonesia	To assist pastoralists and service businesses affected by the Australian Government's temporary suspension of live cattle exports to the Republic of Indonesia.
Other		
Queensland Government	Hendra virus Personal Protective Equipment Rebate Scheme	To assist in offsetting the purchase price of prescribed personal protective equipment (PPE) for eligible veterinary surgeons who may be at significant risk of being exposed to the Hendra virus.
	Queensland Cattle Industry Biosecurity Fund	Administration and management of the Queensland Cattle Industry Biosecurity Fund established to support the delivery of assistance schemes in response to disease outbreaks affecting the Queensland cattle industry.
	Bovine Johne's Disease Assistance Scheme	To assist eligible applicants who have suffered financial loss because of the slaughter of cattle, or alternative supply actions affecting cattle, related to the
	Gladstone Ports Corporation Limited Western Basin Dredging and Disposal Project Commercial Fisheries Compensation Program	The provision to Gladstone Ports Corporation of assessment reports including conclusions on compliance with eligibility criteria and a calculation of financial compensation under the program.
	Queensland Government Solar Hot Water Rebate Scheme	A rebate to eligible households that replace their electrical storage hot water system with a solar hot water system or heat pump.
	TOTAL	

* 2011-12 figures have been amended to reflect cancellations and adjustments that occurred during 2012-13. Figures are accurate as at 30 June 2013.

SUPPORT AVAILABLE	APPLICATION APPROVALS				
	2011-12 (#)	2012-13 (#)	2011-12 (\$)	2012-13 (\$)	Variance (\$)
Maximum loan amount of \$650,000	84	118	\$31,887,697	\$45,815,748	Up
Maximum loan amount of \$650,000	101	132	\$23,656,401	\$33,110,168	Up
Loan up to \$250,000	3	1	\$605,000	\$89,000	Down
Loan up to \$250,000	1	-	\$250,000	-	Closed
Grants up to \$25,000	60	-	\$635,776	-	Closed
Grants up to \$25,000	7,383	1,450	\$89,177,461	\$17,810,734	Closed
Grants up to \$25,000	3,679	608	\$38,999,843	\$6,911,145	Closed
Loan up to \$250,000 for primary producers and small businesses and a loan/ grant package of up to \$105,000 for non-profit organisations	91	11	\$11,664,987	\$940,200	Closed
Loan up to \$250,000 for primary producers and small businesses and a loan/ grant package of up to \$105,000 for non-profit organisations	45	7	\$5,971,600	\$442,200	Closed
Loan/grant package up to \$650,000	86	10	\$37,736,141	\$5,173,000	Closed
Loan/grant package up to \$650,000	50	4	\$19,094,363	\$1,829,000	Closed
Grants up to \$25,000	752	817	\$5,778,914	\$11,811,984	Closed
Loan up to \$250,000	1	4	\$28,490	\$556,000	Closed
Loan/grant package up to \$105,000	-	-	-	-	New/Closed
Loan up to \$250,000	-	1	-	\$180,000	New
Grants up to \$25,000	-	4017	-	\$27,765,410	New
Loan up to \$250,000 for primary producers and small businesses and a loan/ grant package up to \$105,000 for non-profit organisations	-	18	-	\$1,642,200	New
Loan/grant package up to \$650,000	-	24	-	\$8,488,080	New
Maximum amount of \$200,000 for drought recovery loans and \$100,000 for drought carry-on loans	1	-	\$39,000	-	Closed
Interest subsidy up to \$100,000 for new or existing commercial loans	10	-	\$321,278	-	Closed
Payment for the surrender of an 'N1' or 'N2' licence accepted under a competitive tender		35		\$2,169,700	New
Interest subsidy to a maximum of \$36,000 over two years on new loans taken for business related purposes	14		\$154,090		
a) Rebates of \$250 for each eligible veterinary surgeon employed in a veterinary practice for the initial purchase of prescribed PPE; and b) Rebates of \$250 for the purchase of prescribed PPE payable after an approved test of a suspected Hendra virus infection sample has been completed	-	63	-	\$39,175	New
Service provision only	-	-	N/A	N/A	New
Grants to a combined maximum of \$50,000 under the direct market assistance and supply chain pathway assistance components of the scheme	-	-	-	-	New
Service provision only	-	-	N/A	N/A	New
Rebate of \$600 or \$1,000 (for pensioners and low income earners)	16,153	2,122	\$11,289,000	\$1,463,600	Closed
	28,514	9,442			

Our financials

Financial performance

Income statement

Operating expenses

The major expenditure item in 2012-13 was grants/rebates paid to QRAA clients. This item decreased from \$157.70 million in 2011-12 to \$68.23 million in 2012-13. This decrease was attributable to the peak of activity in 2011-12 relating to disaster events administered under the joint Australian/Queensland Government *Natural Disaster Relief and Recovery Arrangements* (NDRRA) assistance schemes. This included activations for the Queensland Floods (November 2010 – January 2011) and Tropical Cyclone Yasi.

QRAA's loss on discounted loans advanced represents the difference between the dollar value of concessional interest rate loans advanced to clients versus the fair value of those loans calculated with reference to market interest rates. This has decreased from \$45.06 million in 2011-12 to \$18.71 million in 2012-13 as a result of the peak of concessional loans issued in 2011-12 relating to disaster events under the NDRRA assistance schemes.

Employee expenses decreased from \$11.06 million to \$8.93 million in 2012-13, reflecting the decrease in employee numbers following the peak of workload in 2011-12 to administer the NDRRA assistance schemes.

For the same reason, supplies and services expenses also decreased from \$3.27 million in 2011-12 to \$2.46 million in 2012-13.

Operating income

QRAA receives contributions from the Queensland and Australian Governments to fund various programs it administers based on agreements between QRAA and the relevant program owners.

Total operating income in the 2012-13 financial year was \$116.29 million, a decrease of \$91.85 million from the previous year. The largest component of operating income is grants and contributions from program owners which are passed on to clients as described above.

Specific fees for the administration of government assistance programs totaled \$0.53 million. Schemes to which these fees related included the Queensland Government Solar Hot Water Rebate Scheme, Hendra virus Personal Protective Equipment Scheme, and the Queensland East Coast Commercial Net Fishing Reduction Scheme.

In 2013-14, QRAA expects this fee base to grow to cover the costs of administering the Queensland Cattle Industry Biodiversity Fund, and the Australian Government's Farm Finance Concessional Loans Scheme (Queensland).

QRAA borrows at concessional interest rates from the Queensland and Australian Governments under the NDRRA program. QRAA's gain on discounted borrowings represents the difference between the dollar value of concessional interest rate borrowings made by QRAA, versus the fair value of those borrowings calculated with reference to market interest rates. This has decreased from \$16.09 million in 2011-12 to \$2.33 million in 2012-13 as a result of the peak of activity in 2011-12 relating to disaster events under the NDRRA assistance schemes.

A contribution of \$9.08 million towards the overall administration of QRAA was received from the Queensland Government.

No fees are charged directly to our clients for processing applications or for the ongoing management of their loans (where relevant).

Interest is earned by QRAA both on loans provided to its clients (\$30.77 million) and funds held for use in the various programs it administers (\$5.24 million) on behalf of government.

All interest earned on loans is redirected to the programs or returned to program owners (where negotiated). No interest earned on loans to clients is used by QRAA to meet its administrative costs.

Operating result

QRAA's 2012-13 operating surplus was \$10.24 million in 2012-13 as compared to \$0.80 million in 2011-12. This increase in operating surplus is despite:

- a 47 per cent drop in total income and;
- an 8 per cent increase in the value of concessional loans under administration.

The fact that QRAA's operating surplus has increased under these circumstances is evidence of the scalability of QRAA's operations and of QRAA's prudent financial management.

Financial position

Assets

QRAA's loan portfolio increased by 8 per cent to \$330.25 million in 2012-13.

Loans outstanding under the Queensland Government Primary Industry Productivity Enhancement Scheme increased from \$177.20 million at 30 June 2012 to \$206.79 million at 30 June 2013.

Loans outstanding under the NDRRA assistance schemes decreased from \$122.06 million at 30 June 2012 to \$117.99 million at 30 June 2013.

Liabilities

External borrowings at 30 June 2013 totaled \$148.81 million, an increase of \$4.71 million from the previous year. This increase reflects additional loan funding provided under the NDRRA assistance schemes.

During the year, \$15.86 million of payables and borrowings were redeemed and repaid to QRAA's external lenders.

Restatement of prior period results

QRAA's results for the 2011-12 financial year have been restated to reflect the application of Australian Accounting Standards to loans and borrowings at concessional interest rates. Details of the restatement are set out in note 12 to the financial statements.

Financial statements

General Information

These financial statements cover QRAA.

QRAA is a Queensland Government Statutory Body established under the *Rural and Regional Adjustment Act 1994*.

The body is controlled by the State of Queensland which is the ultimate parent.

The head office and principal place of business of the organisation is:

Level 9, 307 Queen Street
BRISBANE QLD 4000

A description of the nature of QRAA's operations and its principal activities is included in the notes to the financial statements.

For information in relation to QRAA's financial statement, please call 07 3032 0100 or contact us@qraa.qld.gov.au or visit www.qraa.qld.gov.au.

Amounts shown in these financial statements may not add to the correct sub-totals due to rounding.

Statement of comprehensive income for the year ended 30 June 2013

	Notes	2013 \$'000	2012 \$'000
Income from continuing operations			
Grants and other contributions	2	79,888	172,887
Interest earned on loans and advances	3	30,769	28,504
Interest earned from investments	4	5,239	6,707
Other revenue	5	395	45
Total revenue		116,291	208,143
Gains	6	2,436	16,122
Total income from continuing operations		118,726	224,265
Expenses from continuing operations			
Employee expenses	7, 8	8,934	11,064
Supplies and services	9	2,456	3,266
Grants and subsidies	10	68,225	157,694
Depreciation and amortisation	11	369	314
Loss on discounted loans advanced		18,710	45,057
Impairment of doubtful loans	26	2,218	677
Finance/borrowing costs	13	7,575	5,396
Total expenses from continuing operations		108,487	223,468
Operating result from continuing operations		10,239	797
Operating result for the year		10,239	797
Other comprehensive income		-	-
Total comprehensive income		10,239	797

The accompanying notes form part of these statements.

Statement of financial position

as at 30 June 2013

		30 June 2013 \$'000	30 June 2012 \$'000	1 July 2011 \$'000
	Notes			
Current assets				
Cash and cash equivalents	14	108,967	116,194	119,933
Loans and advances	15	37,436	28,235	27,055
Receivables	16	4,502	5963	3,890
Other	17	37	36	11
Total current assets		150,942	150,428	150,889
Non-current assets				
Loans and advances	15	292,812	278,539	230,885
Intangible assets	19	-	-	-
Property, plant and equipment	18	496	543	664
Total non-current assets		293,307	279,082	231,549
Total assets		444,249	429,510	382,438
Current liabilities				
Payables	20	902	1,137	7,930
Other financial liabilities	21	16,518	17,815	16,604
Accrued employee benefits	22	1,902	1,826	1,434
Provisions	23	191	227	-
Total current liabilities		19,513	21,005	25,968
Non-current liabilities				
Other financial liabilities	21	132,294	126,292	75,028
Accrued employee benefits	22	195	205	231
Total non-current liabilities		132,489	126,497	75,259
Total liabilities		152,002	147,502	101,227
Net assets		292,247	282,008	281,211
Equity				
Contributed equity		137,652	137,652	137,652
Accumulated surplus		154,595	144,356	143,559
Total equity		292,247	282,008	281,211

The accompanying notes form part of these statements.

*See note 12 for details regarding the restatement as a result of an error.

Statement of changes in equity

for the year ended 30 June 2013

	Notes	Accumulated Surplus \$'000	Contributed Equity \$'000	Total \$'000
Balance as at 1 July 2011		166,216	137,652	303,868
Adjustment on correction of error	12	(22,657)	-	(22,657)
Restated total equity at the beginning of the financial year		143,559	137,652	281,211
Operating result for the year		19,697	-	19,697
Adjustment on correction of error	12	(18,900)	-	(18,900)
Restated operating result for the year		797	-	797
Other comprehensive income		-	-	-
Total comprehensive income for the year		797	-	797
Balance as at 30 June 2012		144,356	137,652	282,008
Balance as at 1 July 2012		144,356	137,652	282,008
Operating result for the year		10,239	-	10,239
Total comprehensive income for the year		10,239	-	10,239
Balance as at 30 June 2013		154,595	137,652	292,247

The accompanying notes form part of these statements.

Statement of cash flows

for the year ended 30 June 2013

	Notes	2013 \$'000	2012 \$'000
Cash flows from operating activities			
<i>Inflows:</i>			
Grants and other contributions - Queensland Government		80,899	170,612
Grants and other contributions - Australian Government		79	264
Interest received on investments		5,471	6,615
Interest received on loans and advances		17,133	17,346
GST input tax credits from ATO		442	1,011
GST collected from customers		6,795	15,007
Other		395	45
<i>Outflows:</i>			-
Employee expenses		(8,865)	(10,711)
Supplies and services		(2,454)	(3,023)
Grants and subsidies		(68,230)	(157,694)
Finance/borrowing costs		(1,030)	(1,512)
GST paid to suppliers		(463)	(928)
GST remitted to ATO		(7,068)	(21,828)
Net cash provided by (used in) operating activities	24	23,102	15,204
Cash flows from investing activities			
<i>Inflows:</i>			
Sales of property, plant and equipment		157	63
Loans and advances repaid		52,904	59,856
<i>Outflows:</i>			
Payments for property, plant and equipment		(373)	(222)
Loans and advances made		(83,509)	(143,319)
Net cash provided by (used in) investing activities		(30,822)	(83,622)
Cash flows from financing activities			
<i>Inflows:</i>			
Borrowings		16,351	81,054
Equity injections			
<i>Outflows:</i>			
Borrowing redemptions		(15,859)	(16,375)
Net cash provided by (used in) financing activities		492	64,679
Net increase (decrease) in cash and cash equivalents		(7,228)	(3,739)
Cash and cash equivalents at beginning of financial year		116,194	119,933
Cash and cash equivalents at end of financial year	14	108,966	116,194

The accompanying notes form part of these statements.

Notes

to the financial statements 2012-2013

Objectives and principal activities of QRAA

Note 1:	Summary of significant accounting policies
Note 2:	Grants and other contributions
Note 3:	Interest earned on loans and advances
Note 4:	Interest earned from investments
Note 5:	Other income
Note 6:	Gains
Note 7:	Employee expenses
Note 8:	Key management personnel and remuneration
Note 9:	Supplies and services
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Note 11:	Depreciation and amortisation
Note 12:	Correction of error in accounting for financial instruments
Note 13:	Finance/borrowing costs
Note 14:	Cash and cash equivalents
Note 15:	Loans and advances
Note 16:	Receivables
Note 17:	Prepayments
Note 18:	Plant and equipment
Note 19:	Intangible assets
Note 20:	Payables
Note 21:	Other financial liabilities
Note 22:	Accrued employee benefits
Note 23:	Movements in provisions make good
Note 24:	Reconciliation of operating surplus to net cash from operating activities
Note 25:	Commitments for expenditure
Note 26:	Financial instruments
Note 27:	Board members' fees
Note 28:	Contingencies

Notes

to the financial statements 2012-2013

Objectives and principal activities of QRAA

QRAA was established as a statutory body under the *Rural and Regional Adjustment Act 1994*.

The objective of QRAA is to be the preferred provider of financial programs to rural and regional Queensland on behalf of the Australian and Queensland Governments. The principal activity of QRAA is to provide primary producers and small businesses with loans and subsidies including concessional productivity loans, industry adjustment programs, drought and natural disaster programs, small business emergency assistance, training and skills development assistance and regional development programs.

Note 1. Summary of significant accounting policies

(a) Statement of compliance

QRAA has prepared these financial statements in compliance with section 42 of the *Financial and Performance Management Standard 2009*.

These financial statements are general purpose financial statements, and have been prepared on an accrual basis in accordance with Australian Accounting Standards and Interpretations. In addition, the financial statements comply with Queensland Treasury and Trade's Minimum Reporting Requirements for the year ending 30 June 2013, and other authoritative pronouncements.

With respect to compliance with Australian Accounting Standards and Interpretations, QRAA has applied those requirements applicable to not-for-profit entities, as QRAA is a statutory body. Except where stated, the historical cost convention is used.

(b) Grants and contributions

Grants, contributions, donations and gifts that are non-reciprocal in nature are recognised as revenue in the year in which QRAA obtains control over them (control is generally obtained at the time of receipt). Where grants are received that are reciprocal in nature, revenue is progressively recognised as it is earned, according to the terms of the funding agreements.

(c) Cash and cash equivalents

For the purpose of the Statement of Financial Position and the Statement of Cash Flows, cash assets include all cash and cheques receipted but not banked at 30 June as well as deposits at call with financial institutions. It also includes investments with short periods of maturity that are readily convertible to cash on hand at QRAA's option and that are subject to a low risk of changes in value.

(d) Receivables

Receivables, including loans and advances, are recognised at the amount due at the time the amount is advanced. Interest earned on receivables is taken to account as it accrues.

Collateral in the form of mortgages, charges and liens are held as security against the loans.

(e) Bad and impaired debts

The collectability of receivables is assessed periodically with a provision being made for impairment. A specific provision for impaired debts has been raised for all identifiable doubtful debts based upon the likely shortfall between the outstanding amount and the expected proceeds of property secured by mortgage or other form of security.

Outstanding receivables are written off as bad debts at 30 June when there is no likelihood of recovery or the extent the outstanding amount exceeds the present value of the expected recovery from realisation of any security.

(f) Acquisition of assets

Actual cost is used for the initial recording of all non-current physical and intangible asset acquisitions. Cost is determined as the value given as consideration plus costs incidental to the acquisition, including all other costs incurred in getting the asset ready for use. However, any training costs are expensed as incurred.

(g) Plant and equipment

Items of plant and equipment with a cost or other value equal to or in excess of the asset recognition threshold of \$5,000 are recognised for financial reporting purposes in the year of acquisition.

Items with a lesser value are expensed in the year of acquisition.

(h) Intangible assets

Intangible assets with a cost or other value equal to or greater than \$100,000 are recognised in the financial statements, items with a lesser value being expensed. Each intangible asset, less any anticipated residual value, is amortised over its estimated useful life to QRAA. The residual value is zero for all of QRAA's intangible assets.

Costs associated with the development of computer software are capitalised and amortised on a straight-line basis over the period of expected benefit to QRAA, namely five years.

(i) Amortisation and depreciation of intangibles and property, plant and equipment

All intangible assets of QRAA have finite useful lives and are amortised on a straight line basis.

Plant and equipment is depreciated on a straight-line basis so as to allocate the net cost or revalued amount of each asset, less its estimated residual value, progressively over its estimated useful life to QRAA.

Assets under construction (work-in-progress) are not depreciated until they reach service delivery capacity. Service delivery capacity relates to when construction is complete and the asset is first put to use or is installed ready for use in accordance with its intended application. These assets are then reclassified to the relevant classes with property, plant and equipment.

Where assets have separately identifiable components that are subject to regular replacement, these components are assigned useful lives distinct from the asset to which they relate and are depreciated accordingly.

Notes

to the financial statements 2012-2013

Note 1. Summary of significant accounting policies (continuation)

Any expenditure that increases the originally assessed capacity or service potential of an asset is capitalised and the new depreciable amount is depreciated over the remaining useful life of the asset to QRAA.

Major spares purchased specifically for particular assets are capitalised and depreciated on the same basis as the asset to which they relate.

The depreciable amount of improvements to or on leasehold land is allocated progressively over the estimated useful lives of the improvements or the unexpired period of the lease, whichever is the shorter. The unexpired period of a lease includes any option period where exercise of the option is probable.

Plant and equipment subject to a finance lease is amortised on a straight line basis over the term of the lease, or, where it is likely that QRAA will obtain ownership of the asset, the expected useful life of the asset to QRAA.

For each class of depreciable asset, the following depreciation and amortisation rates are used:

Class	Rate %
Plant and equipment:	
Computer equipment	40
Leasehold improvements	17
Motor Vehicles	25 - 33.3
Office equipment	10 - 17

(j) Impairment of non-current assets

All non-current physical and intangible assets are assessed for indicators of impairment on an annual basis. If an indicator of possible impairment exists, QRAA determines the asset's recoverable amount. Any amount by which the asset's carrying amount exceeds the recoverable amount is recorded as an impairment loss.

The asset's recoverable amount is determined as the higher of the asset's fair value less costs to sell and depreciated replacement cost.

An impairment loss is recognised immediately in the Statement of Comprehensive Income, unless the asset is carried at a revalued amount. When the asset is measured at a revalued amount, the impairment loss is offset against the asset revaluation reserve of the relevant class to the extent available.

Where impairment loss subsequently reverses, the carrying amount of the asset is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset in prior years. A reversal of an impairment loss is recognised as income, unless the asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

(k) Leases

A distinction is made in the financial statements between finance leases, that effectively transfer from the lessor to the lessee substantially all the risks and benefits incidental to ownership, and operating leases under which the lessor retains substantially all risks and benefits.

Where a non-current physical asset is acquired by means of a finance lease, the asset is recognised at an amount equal to the lower of the fair value of the leased property and the present value of minimum lease payments. The liability is recognised at the same amount. Lease payments are allocated between the principal component of the lease liability and the interest expense.

Operating lease payments are representative of the pattern of benefits derived from the leased assets and are expensed in the periods in which they are incurred.

Incentives received on entering into operating leases are recognised as liabilities. Lease payments are allocated between rental expense and reduction of the liability.

(l) Payables

Trade creditors are recognised upon receipt of the goods or services ordered and are measured at the nominal amount i.e. agreed purchase/contract price, of applicable trade and other discounts. Amounts owing are unsecured and are generally settled on 30 day terms.

(m) Financial instruments

Recognition

Financial assets and financial liabilities are recognised in the Statement of Financial Position when QRAA becomes party to the contractual provisions of the financial instrument.

Classification and Measurement

Financial instruments are classified and measured as follows:

- cash and cash equivalents – held at fair value through profit and loss
- loans and advances – held at amortised cost
- receivables – held at amortised cost
- payables – held at amortised cost
- borrowings – held at amortised cost

Where loans and advances are provided with interest free periods or at concessional interest rates, these financial instruments are considered to have fair value different from the transaction price (i.e. the fair value of the consideration given or received) and accordingly, the fair value is estimated using a valuation technique (i.e. the fair value can be estimated as the present value of all future cash receipts discounted using the prevailing market rate(s) of interest for a similar instrument with a similar credit rating). Any additional amount lent is recognised as charge for discounted loans in profit or loss. Subsequently, the entity accretes the discount as part of interest earned on loans and advances in profit or loss.

Notes

to the financial statements 2012-2013

Note 1. Summary of significant accounting policies (continuation)

Where borrowings are provided interest free or at concessional interest rates, these financial instruments are considered to have fair value different from the transaction price (i.e. the fair value of the consideration given or received) and accordingly, the fair value is estimated using a valuation technique (i.e. the fair value can be estimated as the present value of all future cash receipts discounted using the prevailing market rate(s) of interest for a similar instrument with a similar credit rating). Borrowings are initially recognised at fair value, plus any transaction costs directly attributable to the borrowings, then, subsequently held at amortised cost using the effective interest method. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of a financial instrument (or, when appropriate, a shorter period) to the net carrying amount of that instrument.

Any borrowing costs are added to the carrying amount of the borrowing to the extent they are not settled in the period in which they arise. Borrowings are classified as non-current liabilities to the extent that QRAA has an unconditional right to defer settlement until at least 12 months after reporting date.

QRAA does not enter into transactions for speculative purposes, nor for hedging. QRAA holds no financial assets classified at fair value through profit or loss.

All other disclosures relating to the measurement and financial risk management of financial instruments held by QRAA are included in Note 26.

(n) Employee benefits

Employer superannuation contributions, annual leave and long service leave are regarded as employee benefits.

Payroll tax and workers' compensation insurance are a consequence of employing employees, but are not counted in an employee's total remuneration package. They are not employee benefits and are recognised separately as employee related expenses.

Wages, Salaries, Annual Leave, Long Service Leave, TOIL and Sick Leave

Wages, salaries and TOIL due but unpaid at reporting date are recognised in the Statement of Financial Position at the current salary rates.

For unpaid entitlements expected to be paid within 12 months, the liabilities are recognised at their undiscounted values inclusive of on-costs and salary inflation. Entitlements not expected to be paid within 12 months are classified as non-current liabilities and recognised at their present value inclusive of on-costs and salary inflation, calculated using yields on Fixed Rate Australian Government bonds of similar maturity, after projecting the remuneration rates expected to apply at the time of likely settlement.

Prior history indicates that on average, sick leave taken each reporting period is less than the entitlement accrued. This is expected to continue in future periods. Accordingly, it is unlikely that existing accumulated entitlements will be used by employees and no liability for unused sick leave entitlements is recognised.

As sick leave is non-vesting, an expense is recognised for this as it is taken.

Superannuation

Employer superannuation contributions are paid to QSuper, the superannuation scheme for Queensland Government employees, at rates determined by the Treasurer on the advice of the State Actuary. Contributions are expensed in the period that they are paid or payable. QRAA's obligation is limited to its contribution to QSuper.

The QSuper scheme has defined benefit and defined contribution categories. The liability for defined benefits is held on a whole-of-government basis and reported in those financial statements pursuant to AASB 1049 *Whole of Government and General Government Sector Financial Reporting*.

Key Management Personnel and Remuneration

Key management personnel and remuneration disclosures are made in accordance with section 5 of the *Financial Reporting Requirements for Queensland Government Agencies* issued by the Queensland Treasury and Trade. Refer to Note 8 for the disclosures on key executive management personnel and remuneration.

(o) Provisions

Provisions are recorded when QRAA has a present obligation, either legal or constructive as a result of a past event. They are recognised at the amount expected at reporting date for which the obligation will be settled in a future period. Where the settlement of the obligations is expected after 12 or more months, the obligation is discounted to the present value using an appropriate discount rate.

(p) Other financial liabilities

Interest-bearing liabilities payable are recognised at fair value at initial recognition and thereafter at amortised cost.

All borrowing expenses are accounted for on an accrual basis in the Statement of Comprehensive Income using the effective interest rate method and are added to the carrying amount of the borrowing to the extent they are not settled in the period in which they arise.

(q) Financing/borrowing Costs

Finance costs are recognised as an expense in the period in which they are incurred.

Finance costs include:

- interest on bank overdrafts and short-term and long-term borrowings;
- finance lease charges;
- amortisation of discounts or premiums relating to borrowings; and
- ancillary administration charges.

No borrowing costs are capitalised into qualifying assets.

(r) Insurance

QRAA's non-current physical assets and other risks are insured through Marsh Pty Ltd, insurance brokers, premiums being paid on a risk assessment basis. Motor vehicles are insured directly with an underwriter. In addition, QRAA pays premiums to WorkCover Queensland in respect of its obligations for employees' compensation.

Notes

to the financial statements 2012-2013

Note 1. Summary of significant accounting policies (continuation)

(s) Taxation

QRAA is a State body as defined under the *Income Tax Assessment Act 1936* and is exempt from Commonwealth taxation with the exception of Fringe Benefits Tax (FBT) and Goods and Services Tax (GST). FBT and GST are the only taxes accounted for by QRAA. GST credits receivable from, and GST payable to the ATO, are recognised (refer to Note 16 & Note 20).

(t) Issuance of financial statements

The financial statements are authorised for issue by the Chairman, Chief Executive Officer and Senior Finance Manager at the date of signing the Management Certificate.

(u) Accounting estimates and judgements

The preparation of financial statements necessarily requires the determination and use of certain critical accounting estimates, assumptions, and management judgements that have the potential to cause a material adjustment to the carrying amounts of assets and liabilities within the next financial year. Such estimates, judgements and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in future periods as relevant.

Estimates and assumptions that have a potential significant effect are outlined in the following financial statement notes:

Other Income – Note 5

Provisions – Note 23

Other Financial Liabilities – Note 21

The Australian government passed its *Clean Energy Act* in November 2011 which resulted in the introduction of a price on carbon emissions made by Australian businesses from 1 July 2012.

The flexible market-based price phase of the carbon pricing mechanism will commence on 1 July 2015. It is preceded by a three-year period during which the price permits will be fixed at \$23 per tonne of carbon dioxide equivalent in year one, \$24.15 in year two and \$25.40 in year three.

Section 4.3.4 of Queensland Treasury and Trade's report on 'Carbon Price Impacts for Queensland' dated August 2011 indicates that, for non-residential construction activities, costs may increase by between 0.7 per cent and 0.8 per cent over the period 2012-13 to 2015-16.

On this basis and other information available, the introduction of the carbon pricing mechanism is not expected to have a significant impact on QRAA's critical accounting estimates, assumptions and management judgements.

Provision for Impairment

QRAA loans and advances are classified on a numerical scale, based on risk (against real estate security). The risk classification system utilises an ascending numerical scale. The scale rating used 1-8 where (1) represents the least risk and (8) the greatest risk.

All loans within the scale banks 1 to 4 are fully covered by real estate security. However all loans with the scale ranks 5 to 8 are

examined individually as these are regarded as the most vulnerable to loss notwithstanding real estate or other forms of security may be held. Where sufficient doubt exists about the collectability of principal and interest and further, where the market value of QRAA's held security may be insufficient to cover the full payment of a client's loan, a provision is established. The provision for doubtful debts at 30 June 2013 is \$3.002 million. Key sources of uncertainty with regard to credit risk are explained in Note 26 c.

Prevailing market interest rates

Note 1 (m) explains that the initial fair value of concessional loans is estimated using a valuation technique (i.e. the fair value can be estimated as the present value of all future cash receipts discounted using the prevailing market rate(s) of interest for a similar instrument with a similar credit rating). For financial liabilities, QRAA takes the QTC ten year debt pool interest rates as to be the prevailing market rates for a Queensland Government Agency receiving ten year loans. For loans and advances, QRAA estimates these prevailing market rates by reference to the 90 day bank bill swap bid rate (BBSY 90 Bid) plus a risk premium. The risk premium takes account of the term of the loan and the security available. These risk premiums range from 235 basis points to 620 basis points.

(v) Rounding and comparatives

Amounts included in the financial statements are in Australian dollars and have been rounded to the nearest \$1,000 or where that amount is \$500 or less, to zero, unless disclosure of the full amount is specifically required.

Comparative information has been restated where necessary to be consistent with disclosures in the current reporting period.

(w) New and revised accounting standards

QRAA did not voluntarily change any of its accounting policies during 2012-13. Australian Accounting Standard changes applicable for the first time for 2012-2013 have had minimal effect on QRAA's financial statements, as explained below.

AASB 2011-9 *Amendments to Australian Accounting Standards – Presentation of Items of Other Comprehensive Income* [AASB 1, 5, 7, 101, 112, 120, 121, 132, 133, 134, 1039 & 1049] became effective from reporting periods beginning on or after 1 July 2012. The only impact for QRAA is that, in the Statement of Comprehensive Income, items within the 'Other Comprehensive Income' section are now presented in different subsections, according to whether or not they are subsequently classifiable to the operating result. Whether subsequent reclassification is possible depends on the requirements or criteria in the accounting standard/interpretation that relates to the item concerned.

QRAA is not permitted to early adopt a new or amended accounting standard ahead of the specified commencement date unless approval is obtained from Queensland Treasury and Trade. Consequently, QRAA has not applied any Australian Accounting Standards and Interpretations that have been issued but are not yet effective. QRAA applies standards and interpretations in accordance with their respective commencement dates.

At the date of authorisation of the financial report, the expected impacts of new or amended Australian Accounting Standards with future commencement dates are as set out below.

Notes

to the financial statements 2012-2013

Note 1. Summary of significant accounting policies (continuation)

AASB 13 *Fair Value Measurement* applies from reporting periods beginning on or after 1 January 2013. AASB 13 sets out a new definition of “fair value”, as well as new principles to be applied when determining the fair value of assets and liabilities. The new measurements apply to all of QRAA’s assets and liabilities (excluding leases) that are measured and/or disclosed at fair value or another measurement based on fair value. The potential impacts of AASB 13 relates to the fair value measurement methodologies used and financial statement disclosures made in respect of such assets and liabilities.

QRAA has commenced reviewing its fair value methodologies to determine whether those methodologies comply with AASB 13. To the extent that the methodologies don’t comply, changes will be necessary. While QRAA is yet to complete this review, no substantial changes are anticipated, based on the fair value methodologies presently used. Therefore, at this stage, no consequential material impacts are expected for QRAA’s assets or liabilities as from 2013-14.

AASB 13 will require an increased amount of information to be disclosed in relation to fair value measurements for both assets and liabilities. To the extent that any fair value measurement for an asset or liability uses data that is not ‘observable’ outside QRAA, the amount of information to be disclosed will be relatively greater.

A revised version of AASB 119 *Employee Benefits* applies from reporting periods beginning on or after 1 January 2013. The revised AASB 119 is generally to be applied retrospectively. Given QRAA’s circumstances, the only implications for QRAA are that the revised standard clarifies the concept of ‘termination benefits’, and the recognition criteria for liabilities for termination benefits will be different. If termination benefits meet the timeframe criterion for ‘short-term employee benefits’, they will be measured according to the AASB 119 requirements for ‘short-term employee benefits’. Otherwise, termination benefits will need to be measured according to the AASB 119 requirements for ‘other long-term employee benefits’. Under the revised standard, the recognition and measurement of employer obligations for ‘other long-term employee benefits’ will need to be accounted for according to most of the requirements for defined benefit plans.

The revised AASB 119 includes changed criteria for accounting for employee benefits as ‘short-term employee benefits’. The revised AASB 119 also includes changed requirements for the measurement of employer liabilities/assets arising from defined benefit plans, and the measurement and presentation of changes in such liabilities/assets. QRAA makes employer superannuation contributions only to the QSuper defined benefit plan, and the corresponding QSuper employer benefit obligation is held by the State. Therefore, those changes to AASB 119 will have no impact on QRAA.

AASB 1053 *Application of Tiers of Australian Accounting Standards* applies as from reporting periods beginning on or after 1 July 2013. AASB 1053 establishes a differential reporting framework for those entities that prepare general purpose financial statements, consisting of two Tiers of reporting requirements – Australian Accounting Standards (commonly referred to as ‘Tier 1’), and Australian Accounting Standards – Reduced Disclosure Requirements (commonly referred to as ‘Tier 2’). Tier 1

measurement, presentation and disclosure requirements that are currently applicable to reporting entities in Australia. The only difference between the Tier 1 and Tier 2 requirements is that Tier 2 requires fewer disclosures than Tier 1.

Details of which disclosures in standards and interpretations are not required under tier 2 reporting are set out in amending standards AASB 2010-2, AASB 2011-2, AASB 2011-6 and AASB 2011-11, AASB 2012-1, AASB 2012-7 and AASB 2012-11 (which also apply from reporting periods beginning on or after 1 July 2013). However, Queensland Treasury and Trade’s Financial Reporting Requirements effectively do not allow application of AASB 2011-6 in respect of controlled entities, associates or interests in jointly controlled entities.

Pursuant to AASB 1053, public sector entities like QRAA may adopt Tier 2 requirements for their general purpose financial statements. However, AASB 1053 acknowledges the power of a regulator to require application of the Tier 1 requirements. In the case of QRAA, Queensland Treasury and Trade is the regulator. Queensland Treasury and Trade has advised that its policy decision is to require adoption of Tier 1 reporting by all Queensland Government departments and statutory bodies (including QRAA) that are consolidated into the whole-of-Government financial statements. Therefore, the release of AASB 1053 and associated amending standards will have no impact on QRAA.

The following new and revised standards apply as from reporting periods beginning on or after 1 January 2014 –

AASB 1055 *Budgetary Reporting* applies from reporting periods beginning on or after 1 July 2014. From that date, based on what is currently published in the Queensland Government’s Budgetary Service Delivery Statements, this means QRAA will need to include in these financial statements the original budgeted statements for the Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, and Statement of Cash Flows. These budgeted statements will need to be presented consistently with the corresponding (actual) financial statements, and will be accompanied by explanations of major variances between the actual amounts and the corresponding budgeted financial statement.

In addition, based on what is currently published in the Queensland Government’s Service Delivery Statements, QRAA will need to include in these financial statements the original budgeted information for major classes of administered income and expenses, and major classes of administered assets and liabilities. This budgeted information will need to be presented consistently with the corresponding (actual) administered information, and will be accompanied by explanations of major variances between the actual amounts and the corresponding budgeted financial information.

AASB 9 *Financial Instruments* (December 2010) and AASB 2010-7 *Amendments to Australian Accounting Standards arising from AASB 9 (December 2010)* [AASB 1, 3, 4, 5, 7, 101, 102, 108, 112, 118, 120, 121, 127, 128, 131, 132, 136, 137, 139, 1023 & 1038 and Interpretations 2, 5, 10, 12, 19 & 127] become effective from reporting periods beginning on or after 1 January 2015. The main impacts of these standards on QRAA are that they will change the requirements for the classification, measurement and disclosures associated with QRAA’s financial assets. Under the new requirements, financial assets will be more simply

Notes

to the financial statements 2012-2013

Note 1. Summary of significant accounting policies (continuation)

classified according to whether they are measured at amortised cost or fair value. Pursuant to AASB 9, financial assets can only be measured at amortised cost if two conditions are met. One of these conditions is that the asset must be held within a business model whose objective is to hold assets in order to collect contractual cash flows. The other condition is that the contractual terms of the asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

QRAA has commenced reviewing the measurement of its financial assets against the new AASB 9 classification and measurement requirements. However, as the classification of financial assets at the date of initial application of AASB 9 will depend on the facts and circumstances existing at that date, QRAA's conclusions will not be confirmed until closer to that time. At this stage, and assuming no change in the types of transactions QRAA enters into, it is expected that all of QRAA's loans receivable will meet the criteria in AASB 9 to be measured at fair value at initial recognition, then amortised cost subsequent to initial recognition using the effective interest method. In the case of QRAA's other receivables as presented in Note 16, as they are short-term in nature, the carrying amount is expected to be a reasonable approximation of fair value. Therefore, no changes in the classification or measurement of financial assets are anticipated from the adoption of AASB 9.

All other Australian accounting standards and interpretations with future commencement dates are either not applicable to QRAA's activities, or have no material impact on QRAA.

Note 2. Grants and other contributions

The Australian and Queensland Governments contribute to the funding of the various schemes of assistance depending upon the nature of the scheme and the arrangements under the agreements between the Australian and Queensland Governments. The State's contributions are made by a number of government agencies, mainly Queensland Treasury and Trade, the Queensland Department of Agriculture, Fisheries and Forestry and the Department of Environment and Resource Management.

	2013 \$'000	2012 \$'000
(a) Queensland Government contributions		
Administration	9,083	8,887
Dawson Valley Irrigators Water Rebate Scheme	-	621
Hendra virus PPE Rebate Scheme	274	-
Natural Disaster Relief and Recovery Arrangements assistance	65,725	151,754
Queensland Cattle Industry Biosecurity Fund	2,000	-
Queensland East Coast Commercial Net Fishing Reduction Scheme	2,421	-
Queensland Government Solar Hot Water Rebate Scheme	191	11,315
Rural Adjustment Scheme	-	16
Other schemes	115	30
	79,809	172,623
(b) Australian Government contributions		
Rural Adjustment Scheme	-	163
Subsidised Interest Rate Scheme for Pastoralists and Service Businesses Involved in Live Cattle Exports to Indonesia	79	101
	79	264
Total	79,888	172,887

Note 3. Interest earned on loans and advances

	2013 \$'000	2012 \$'000
Effective interest adjustment on discounted loans and advances	13,798	11,104
Citrus Industry Reimbursement & Recovery Scheme	40	27
Coral Reef Fishery Temporary Assistance Scheme	6	7
Emergency Assistance - Drought Carry On & Recovery	374	520
Natural Disaster Relief and Recovery Arrangements assistance	2,854	3,219
Primary Industry Productivity Enhancement Scheme	13,689	13,611
Young Farmers Establishment	8	16
	30,769	28,504

Notes

to the financial statements 2012-2013

Note 4. Interest earned from investments

	2013 \$'000	2012 \$'000
Dawson Valley Irrigators Water Rebate Scheme	-	7
Hendra virus PPE Rebate Scheme	10	-
Queensland East Coast Commercial Net Fishing Reduction Scheme	2	-
Queensland Government Solar Hot Water Rebate Scheme	19	88
Rural Adjustment Scheme	-	1
Other (i)	5,208	6,611
	5,239	6,707

(i) Interest earned on funds invested under the schemes as detailed above accrues directly to those schemes to be used for the purposes of those schemes. All other interest earned becomes revenue of QRAA.

Note 5. Other income

	2013 \$'000	2012 \$'000
GST refund (i)	379	-
Other	16	45
Total	395	45

(i) In January 2013, the Australian Tax Office (ATO) issued a private ruling to QRAA allowing QRAA to change its methodology for the determining the "extent of creditable purpose" (ECP) apportionment of GST input tax credits relating to expenses that could not be directly allocated to either input taxed supplies or non-input taxed supplies. The new methodology is based on transactions and time spent by staff, whereas the previous apportionment methodology was to apply a fixed rate of 50 per cent. This ruling was applied retrospectively to the period from December 2007 to January 2013. As a result of the retrospective application of this ruling, QRAA received a GST refund of \$413,793 from the ATO. \$37,220 of this refund related to the current financial year. \$376,573 related to financial years ended June 2008, 2009, 2010, 2011, and 2012. This refund has been accounted for prospectively as a change in an accounting estimate under AASB 108. The revised methodology has also been employed in recognising GST input credits during the five months ended June 2013.

Note 6. Gains

	2013 \$'000	2012 \$'000
Gain on discounted loans received	2,331	16,088
Gain on sale of motor vehicles	105	34
Total	2,436	16,122

Note 7. Employee expenses

	2013 \$'000	2012 \$'000
Wages and salaries	6,605	8,131
Annual and long service leave	838	1,161
Employer superannuation contributions	893	1,055
Other employee benefits	597	717
Total	8,934	11,064

The number of employees as at 30 June, including both full-time employees and part-time employees, measured on a full-time equivalent basis (reflecting Minimum Obligatory Human Resource Information (MOHRI)) is:

	2013	2012
Number of employees	101	91

Notes

to the financial statements 2012-2013

Note 8. Key Management Personnel and Remuneration

(a) Key Management Personnel

The following details for key management personnel include those positions that had authority and responsibility for planning, directing and controlling the activities of QRAA during 2012-13. Further information can be found in the body of the Annual Report under the section relating to Executive Management.

Position	Responsibilities	Current incumbents	
		Contract classification and appointment authority	Date appointed to position (Date resigned from position)
Chief Executive Officer	The Chief Executive Officer reports to QRAA's Board of Directors and the Minister for Agriculture, Fisheries and Forestry. He is responsible for leading and managing the affairs of QRAA including strategically positioning QRAA to achieve organisational and financial goals and implement Board policy.	Contract - Governor in Council	16 August 2001
General Manager, Program Delivery Services	Program Delivery Services delivers financial assistance programs that foster the development of rural and regional sector that supports the Queensland economy. Program Delivery Services also delivers programs in response to emergencies and natural disasters and fosters strong relationships with community and industry.	SES 2 Low - <i>Rural and Regional Adjustment Act 1994</i>	20 November 2006
Acting General Manager, Corporate Strategy and Support	The Corporate Strategy and Support division develops and manages QRAA's systems, infrastructure and policies in the areas of finance, human resources and information services. It facilitates planning, performance improvement, strategic communications, and business development.	SES 2 Low - <i>Rural and Regional Adjustment Act 1994</i>	6 May 2013
Project Director, Loans & Grants Administration System (LGAS)	Lead the procurement and implementation of a new loans and grants administration solution which is aligned with QRAA's strategic direction.	SES 2 Low - <i>Rural and Regional Adjustment Act 1994</i>	18 March 2013

(b) Remuneration

Remuneration policy for QRAA's key management personnel is set by the Board as provided under the *Rural and Regional Adjustment Act 1994*. The remuneration and other terms of employment for the key management personnel are specified in employment contracts. The contracts provide for the provision of performance-related cash bonuses and other benefits including motor vehicles.

For the 2012-13 year, remuneration of the General Manager Program Delivery Services and Project Director, Loans & Grants Administration System (LGAS) increased by 2.2 per cent in accordance with government policy.

Notes

to the financial statements 2012-2013

Note 8. Key Management Personnel and Remuneration (continuation)

Remuneration packages for key management personnel comprise the following components:

- short term employee benefits which include:
 - Base – consisting of base salary, allowances and leave entitlements expensed for the entire year or for that part of the year during which the employee occupied the specified position.
 - Non-monetary benefits – consisting of provision of vehicle together with fringe benefits tax applicable to the benefit.
- long term employee benefits include amounts expensed in respect of long service leave.
- post-employment benefits include amounts expensed in respect of employer superannuation obligations.
- redundancy payments are not provided for within individual contracts of employment. Contracts of employment provide only for notice periods or payment in lieu of notice on termination, regardless of the reason for termination.
- performance bonuses are not paid under the contracts in place.

Total fixed remuneration is calculated on a 'total cost' basis and includes the base and non-monetary benefits, long term employee benefits and post-employment benefits.

1 July 2012 – 30 June 2013

Position (date resigned if applicable)	Short term employee benefits		Post employment benefits	Total remuneration	Long term employee benefits	Termination benefits
	Base \$'000	Non- Monetary Benefits \$'000	\$'000	\$'000	\$'000	\$'000
Chief Executive Officer	216	30	40	286	-	N/A
General Manager, Program Delivery Services	146	18	21	185	-	N/A
General Manager, Corporate Strategy and Support #	23	-	2	25	1	N/A
Project Director, Loans & Grants Administration System	164	-	17	181	4	N/A

#Acting General Manager, Corporate Strategy and Support from 6 May 2013.

1 July 2011 – 30 June 2012

Position (date resigned if applicable)	Short term employee benefits		Post employment benefits	Total remuneration	Long term employee benefits	Termination benefits
	Base \$'000	Non- Monetary Benefits \$'000	\$'000	\$'000	\$'000	\$'000
Chief Executive Officer	213	26	27	266	-	N/A
General Manager, Program Delivery Services	139	23	17	179	-	N/A
General Manager, Corporate Strategy and Support	161	-	17	178	4	N/A

Notes

to the financial statements 2012-2013

Note 9. Supplies and services

	2013 \$'000	2012 \$'000
Advertising and promotion	103	87
Audit fees - external	57	72
Audit fees - internal	56	56
Bank and other financial institution fees and charges	35	49
Computer expenses	268	311
Consultants	52	205
Contractors	257	281
Insurance	82	78
Lease-make good cost	-	227
Motor vehicle expenses	107	127
Photocopying	7	1
Postage	59	71
Printing	38	35
Professional and legal expenses	66	28
Rent	767	899
Securities expenses	79	183
Stationery	24	28
Telephone and fax	149	155
Travel and accommodation	117	143
Other	135	230
Total	2,456	3,266

Total audit fees paid to the Queensland Audit Office relating to the 2012-13 financial statements are estimated to be \$70,960 (2012: \$58,065).

Consultant expenses of \$52,022 included costs of \$18,608 associated with the initial stages of upgrading the loans and grants administration system (2012: \$204,676).

Note 10. Grants and subsidies

Assistance was provided to primary producers and small businesses in the form of interest subsidies or grants. Other incidental costs that may be incurred in the guidelines relating to individual schemes are also included.

	2013 \$'000	2012 \$'000
Dawson Valley Irrigators Water Rebate Scheme	-	607
Hendra Virus PPE Rebate Scheme	39	-
Natural Disaster Relief and Recovery Arrangements assistance	64,299	145,301
Queensland East Coast Commercial Net Fishing Reduction Scheme	2,090	-
Queensland Government Solar Hot Water Rebate Scheme	1,714	11,345
Rural Adjustment Scheme	-	437
Subsidised Interest Rate Scheme for Pastoralists and Service Businesses Involved in Live Cattle Exports to Indonesia	84	4
Total	68,225	157,694

Notes

to the financial statements 2012-2013

Note 11. Depreciation and amortisation

	2013 \$'000	2012 \$'000
Depreciation was incurred in respect of:		
Computer equipment	55	40
Leasehold improvements	145	106
Motor vehicles	161	163
Office equipment	8	5
Total:	369	314

Note 12. Correction of error in accounting for financial instruments

QRAA's historical financial statements have allowed for a reduction in the book value of certain loans and advances with an initial two year interest free period. However, this adjustment was not applied to other loans and advances with concessional interest rates. It was also not applied to QRAA's non-interest bearing financial liabilities, nor to QRAA's financial liabilities with concessional interest rates. As such, the adjustments taken up in QRAA's historical financial statements only partially captured the requirements of QRAA's accounting policy for financial instruments set out in note 1(m). This error has been corrected by restating each of the affected financial statement line items for the prior periods as shown.

(a) Statement of financial position (extract)

	30 June 2012 \$'000	Increase/ (decrease) \$'000	30 June 2012 (restated) \$'000	1 July 2011 \$'000	Increase/ (decrease) \$'000	1 July 2011 (restated) \$'000
Loans and advances (Non-current)	350,065	(71,526)	278,539	271,307	(40,422)	230,885
Other financial liabilities (Non-current)	156,261	(29,969)	126,292	92,793	(17,765)	75,028
Net assets	323,565	(41,557)	282,008	303,868	22,657	281,211
Accumulated surplus	185,913	(41,557)	144,356	166,216	(22,657)	143,559
Total equity	323,565	(41,557)	282,008	303,868	(22,657)	281,211

(b) Income statement (extract)

Income from continuing operations	2012 \$'000	Profit increase/ (decrease) \$'000	2012 (restated) \$'000
Interest earned on loans and advances	17,400	11,104	28,504
Gain on discounted loans received	34	16,088	16,122
Loss on discounted loans advanced	(2,849)	(42,208)	(45,057)
Finance/borrowing costs	(1,512)	(3,884)	(5,396)
Operating result for the year	19,697	(18,900)	797
Other comprehensive income	-	-	-
Total comprehensive income	19,697	(18,900)	797

The gain of \$0.034 million recognised in the original 2012 financial statements related to the sale of motor vehicles.

Notes

to the financial statements 2012-2013

Note 13. Finance/borrowing costs

	2013 \$'000	2012 \$'000
Interest on borrowings	1,030	1,512
Effective interest adjustment on discounted financial liabilities	6,545	3,884
Total	7,575	5,396

Refer to Notes 1(q) and 1(m) for further details.

Finance costs represent interest paid to Queensland Treasury Corporation for Emergency Assistance – Drought Carry On and Drought Recovery Programs and the Australian Government for Natural Disaster Relief and Recovery Arrangements assistance programs.

Note 14. Cash and cash equivalents

This item includes cash and funds on short-term deposit. The amounts of cash and deposits are accounted for individually within the various schemes of assistance administered by QRAA.

	2013 \$'000	2012 \$'000
Administration	19,816	18,938
Coral Reef Fishery Temporary Assistance	764	738
Citrus Industry Recovery Scheme	(770)	-
Emergency Assistance - Drought Carry On & Recovery	1,888	1,314
Hendra Virus PPE Rebate Scheme	221	-
Natural Disaster Relief and Recovery Arrangements assistance	36,393	26,939
Primary Industry Productivity Enhancement Scheme	11,948	38,847
Queensland Cattle Industry Biosecurity Fund (Bovine Johne's Disease Fund)	2,000	-
Queensland East Coast Commercial Net Fishing Reduction Scheme	132	-
Queensland Government Solar Hot Water Rebate Scheme	-	1,695
Subsidised Interest Rate Scheme for Pastoralists and Service Businesses Involved in Live Cattle Exports to Indonesia	(7)	-
Sugar Cane Crop	-	585
Tourism Assistance Package	-	473
Young Farmers Establishment	2,658	2,551
Reserves	33,922	24,114
Total	108,967	116,194

Cash surplus to immediate requirements is invested according to the guidelines in the *Rural and Regional Adjustment Act 1994*, the *Statutory Bodies Financial Arrangements Act 1982* and QRAA's Investment Policy.

Cash and deposits held at the end of the year were:

	2013 \$'000	2012 \$'000
National Australia Bank - at call	1,138	1,684
Queensland Treasury Corporation - at call	21,635	21,884
Australia and New Zealand Bank - 90 days term deposit	17,113	-
National Australia Bank - 90 days term deposit	29,798	36,007
Suncorp Bank - 90 days term deposit	22,431	30,887
Westpac Bank - 90 days term deposit	16,852	25,732
	108,967	116,194

Cash deposited with National Australia Bank earned interest at rates of between 2.65 per cent and 3.65 per cent for at call funds (2012: 3.25 per cent and 4.25 per cent) and 4.17 per cent and 5.35 per cent for term deposits (2012: 5.31 per cent and 5.85 per cent), cash deposited with Queensland Treasury Corporation earned interest at rates of between 3.61 per cent and 4.52 per cent for at call funds (2012: 4.10 per cent and 5.78 per cent), cash deposited with Australia and New Zealand Bank earned interest at rates of between 4.16 per cent and 4.69 per cent (2012: n/a), cash deposited with Suncorp Bank earned interest at rates of between 4.19 per cent and 5.36 per cent for term deposits (2012: 5.37 per cent and 6.13 per cent) and cash deposited with Westpac Bank earned interest at rates of between 4.05 per cent and 5.03 per cent for term deposits (2012: 4.96 per cent and 5.93 per cent).

Notes

to the financial statements 2012-2013

Note 15. Loans and advances

Loans and advances are made to primary producers and small business at either a concessional or commercial interest rate.

	Gross \$'000	Provision for impairment \$'000	Unamortised Discount on Loans Issued at Greater than Fair Value \$'000	Current \$'000	Non- current \$'000	2013 total \$'000
2013						
Citrus Industry Reimbursement and Recovery Scheme	868	-	139	112	617	729
Temporary Assistance Scheme	73	-	74	73	(74)	(0)
Emergency Assistance - Drought Carry-On and Recovery	4,945	-	313	1,580	3,052	4,632
Natural Disaster Relief and Recovery Arrangements assistance	138,840	2,893	17,958	16,471	101,519	117,990
Primary Industry Productivity Enhancement Scheme	268,411	109	61,508	19,174	187,620	206,794
Young Farmers Establishment	112	-	9	26	78	104
	413,249	3,002	79,999	37,436	292,812	330,248

	Gross \$'000	Provision for impairment \$'000	Unamortised Discount on Loans Issued at Greater than Fair Value \$'000	Current \$'000	Non- Current \$'000	2012 total \$'000
2012						
Citrus Industry Reimbursement & Recovery Scheme	922	-	149	55	718	773
Temporary Assistance Scheme	93	-	2	93	(2)	91
Emergency Assistance - Drought Carry On and Recovery	6,938	-	467	1,808	4,663	6,471
Natural Disaster Relief and Recovery Arrangements Assistance	146,179	922	23,198	10,440	111,619	122,059
Primary Industry Productivity Enhancement Scheme	229,038	598	51,242	15,781	161,417	177,198
Young Farmers Establishment	210	-	29	58	123	181
	383,380	1,520	75,086	28,235	278,539	306,774

Notes

to the financial statements 2012-2013

Note 16. Receivables

	2013 \$'000	2012 \$'000
Other receivables		
GST receivable	70	48
Grants receivable	920	2,010
	990	2,058
Accrued interest - bank	478	710
Accrued interest - loans and advances		
Citrus Industry Reimbursement and Recovery Scheme	19	5
Coral Reef Fishery Temporary Assistance		-
Emergency Assistance - Drought Carry On & Recovery	84	124
Natural Disaster Relief and Recovery Arrangements assistance	356	408
Primary Industry Productivity Enhancement Scheme	2,574	2,656
Young Farmers Establishment	1	2
	3,034	3,195
	4,502	\$5,963

Note 17. Prepayments

	2013 \$'000	2012 \$'000
Prepaid expenses	37	36
	37	36

Note 18. Plant and equipment

	2013 \$'000	2012 \$'000
Computer equipment - at cost	440	351
Accumulated depreciation	(328)	(273)
	113	78
Leasehold improvements - at cost	894	894
Accumulated depreciation	(836)	(692)
	57	202
Motor vehicles - at cost	477	498
Accumulated depreciation	(194)	(261)
	283	237
Office equipment - at cost	277	252
Accumulated depreciation	(235)	(226)
	42	26
	496	543
	543	664

Notes

to the financial statements 2011-2012

Note 18. Plant and equipment (continuation)

Reconciliations

Reconciliations of the carrying amounts of each class of asset are set out below:

	2013 \$'000	2012 \$'000
Computer equipment		
Carrying amount at 1 July	78	73
Acquisitions	89	45
Depreciation	(55)	(40)
Carrying amount at 30 June	113	78
Leasehold improvements		
Carrying amount at 1 July	203	308
Acquisitions	-	-
Depreciation	(145)	(106)
Carrying amount at 30 June	57	202
Motor vehicles		
Carrying amount at 1 July	237	264
Acquisitions	259	165
Disposals	(52)	(29)
Depreciation	(161)	(163)
Carrying amount at 30 June	283	237
Office equipment		
Carrying amount at 1 July	26	19
Acquisitions	24	12
Depreciation	(8)	(5)
Carrying amount at 30 June	42	26
	496	543

Note 19. Intangible assets

	2013 \$'000	2012 \$'000
Computer software purchased - at cost	982	982
Accumulated amortisation	(982)	(982)
	-	-

Note 20. Payables

	2013 \$'000	2012 \$'000
Current		
Trade creditors and accruals	158	118
Accrued employee costs	81	78
GST payable	663	941
	902	1,137

Notes

to the financial statements 2012-2013

Note 21. Other financial liabilities

	2013 \$'000	2012 \$'000
Interest bearing liabilities		
Current		
Queensland Treasury Corporation	1,525	1,440
Australian Government	7,872	7,282
	9,397	8,722
Non-current		
Queensland Treasury Corporation	3,406	4,925
Australian Government	85,454	79,740
	88,860	84,665
Non-interest bearing liabilities		
Current		
Queensland Government	7,121	9,093
	7,121	9,093
Non-current		
Queensland Government	43,434	41,627
	43,434	41,627
Total current financial liabilities		
Queensland Treasury Corporation	1,525	1,440
Australian and Queensland Governments	14,993	16,375
Total current financial liabilities	16,518	17,815
Total non-current financial liabilities		
Queensland Treasury Corporation	3,406	4,925
Australian and Queensland Governments	128,888	121,367
Total non-current financial liabilities	132,294	126,292
Total other financial liabilities	148,812	144,107

No assets have been pledged as security for any liabilities.

All borrowings are in \$A denominated amounts, and no interest has been capitalised during the current or comparative reporting period. There have been no defaults or breaches of the loan agreement during the period.

Interest rates on borrowings range from 0 per cent to 7.32 per cent. All borrowings are unsecured.

Under the Natural Disaster Relief and Recovery Arrangements assistance (NDRRA) Program, QRAA borrows funds from both the Australian and Queensland Governments. Funds borrowed from the Australian Government are interest bearing, while funds borrowed from the Queensland Government are interest free. All funds are advanced initially to QRAA by the Queensland Government. The portion of these borrowings which is funded by the Australian Government is sometimes not confirmed until after the publication of QRAA's financial statements. Where this occurs, QRAA estimates the ultimate split between interest bearing borrowings owed to the Australian Government and interest free borrowings owed to the Queensland Government. This split is estimated by gathering estimates of expenditure from other Queensland Government agencies, and by applying the guidelines in the NDRRA Determination 2012.

QRAA has a loan facility with Queensland Treasury Corporation which is approved under the Queensland Government's State Borrowing Program. At 30 June 2013, the amount undrawn under the facility was \$24 million.

Notes

to the financial statements 2011-2012

Note 22. Accrued employee benefits

	2013 \$'000	2012 \$'000
Current		
Annual leave	735	695
Long service leave	1,167	1,131
	1,902	1,826
Non-current		
Long service leave	195	205
	195	205

The discount rate used to calculate the present value of long service leave is 2.48 per cent to 3.23 per cent (2012: 2.40 per cent to 2.87 per cent).

Note 23. Movements in provisions make good

	2013 \$'000	2012 \$'000
Balance as at 1 July	227	-
Additional provision recognised	-	227
Reductions in provision	(36)	-
Balance at 30 June	191	227

The lease expiry on QRAA's existing office space has been extended from 31 October 2012 to 30 September 2013. The make good provision has been determined on the basis of commercial rates per square metre used by the Queensland Government in making good on leased areas. This is consistent with the approach used for QRAA's 2012 financial statements. However, of the total commercial space occupied by QRAA over the course of the tenancy, 16 per cent was vacated and made good during the financial year ended June 2013. Therefore the provision has been reduced accordingly.

Note 24. Reconciliation of operating surplus to net cash from operating activities

	2013 \$'000	2012 \$'000
Operating surplus/(deficit)	10,239	797
Depreciation and amortisation expense	369	314
Gain on sale of property, plant and equipment	(105)	(34)
Impairment of doubtful loans	2,218	677
Change in assets and liabilities:		
(Increase)/decrease in accrued interest income	393	(146)
(Increase)/decrease in unamortised discount on borrowings	4,213	(12,204)
(Increase)/decrease in GST input tax credits receivable	(22)	
(Increase)/decrease in other receivables	1,090	(1,928)
(Increase)/decrease in prepayments/other	(1)	(25)
Increase/(decrease) in accounts payable	40	-
Increase/(decrease) in unamortised discount on loans and advances	4,913	33,953
Increase/(decrease) in accrued employee benefits	69	(6,427)
Increase/(decrease) in GST payable	(278)	-
Increase/(decrease) in provisions	(36)	227
Net Cash from operating activities	23,102	15,204

Notes

to the financial statements 2012-2013

Note 25. Commitments for expenditure

(a) Finance lease liabilities

At reporting date, QRAA has no commitments under finance leases.

(b) Non-cancellable operating lease

Commitments under operating leases at reporting date are inclusive of anticipated GST and are payable as follows:

	2013 \$'000	2012 \$'000
Not later than one year	575	324
Later than one year and not later than five years	2,569	19
Total	3,144	343

Finance leases are entered into as a means of funding the acquisition of certain plant and equipment. Lease payments are generally fixed. Leases for photocopiers have a contingent rental obligation dependent on the volume of usage.

No leases have escalation clauses other than in the event of payment default. A small number of leases have renewal or purchase options. Where such options exist, they are all exercisable at market prices.

No lease arrangements create restrictions on other financing transactions.

Operating leases are entered into as a means of acquiring access to office accommodation and storage facilities. Lease payments are generally fixed, but with inflation escalation clauses on which contingent rentals are determined.

(c) Capital expenditure commitments

At reporting date, QRAA has no commitments for capital expenditure.

(d) Financial assistance commitments

At reporting date, QRAA has undrawn financial assistance commitments of \$34.974 million (2012: \$29.342 million). Undrawn commitments are loans and grants that have been approved and awaiting client drawdown at balance date.

Note 26. Financial instruments

(a) Categorisation of financial instruments

QRAA has the following categories of financial assets and financial liabilities:

Category	Note	2013 \$'000	2012 \$'000
Financial assets			
Cash and cash equivalents		108,967	116,194
Loans and advances	15	330,248	306,774
Receivables	16	4,502	5,963
Total		443,717	428,931
Financial liabilities			
Financial liabilities measured at amortised cost:			
Payables	20	902	1,137
Other financial liabilities	21	148,812	144,107
Total		149,714	145,244

Notes

to the financial statements 2011-2012

Note 26. Financial instruments (continuation)

(b) Financial Risk Management

QRAA's Board of Directors has endorsed a policy of compliance and risk management to suit the risk profile of QRAA including financial risk. Authority flows from the Board to the Audit and Risk Management Committee and from there to the Chief Executive Officer, the Senior Executive Team and management.

The main elements of risk governance are as follows:

(1) Board of Directors

This is the primary governing body that approves the level of risk to which QRAA is exposed and the framework for reporting and mitigating those risks.

(2) Audit and Risk Management Committee

Its key role in risk management is the assessment of the controls that are in place to mitigate risks. The Committee considers and confirms that the significant risks and controls are to be assessed within the internal audit plan. The A+RM Committee receives the internal audit reports on assessment and compliance with the controls, and provides feedback to the Board for their consideration.

(3) Internal Audit

QRAA outsources its internal audit function and the internal audit function has responsibility for implementing the controls testing and assessment as required by the A+RM Committee.

Financial risk management is implemented pursuant to Queensland Government and QRAA's policy. These policies focus on the unpredictability of financial markets and seek to minimise potential adverse effects on the financial performance of QRAA.

All financial risk is managed by the Finance and Program Delivery business units under policies approved by QRAA. QRAA provides written principles for overall risk management, as well as policies covering specific areas.

QRAA measures risk exposure using a variety of methods as follows:

Risk exposure	Measurement method
Credit risk	Ageing analysis
Liquidity risk	Maturity analysis
Market risk	Interest rate sensitivity analysis
Operational risk	Internal controls

(c) Credit risk exposure

Credit risk exposure refers to the situation where QRAA may incur financial loss as a result of another party to a financial instrument failing to discharge their obligation.

The maximum exposure to credit risk at balance date in relation to each class of recognised financial assets is the gross carrying amount of those assets inclusive of any provisions for impairment.

The method of managing credit risk exposure is by way of strict adherence to the credit assessment procedures before loans are approved and close monitoring of arrears in the repayments of loans thereafter on a daily basis with monthly reporting to the Board.

QRAA has established procedures over the:

- Credit assessment and approval of loans covering risk assessment and security requirements;
- Reassessing and review of the credit exposure on loans;
- Establishing appropriate provisions to recognise the impairment of loans;
- Debt recovery procedures; and
- Review of compliance with the above procedures.

A regular review of compliance is conducted as part of the annual internal audit plan.

(i) Past due and impaired loans

A loan is past due when the client has failed to make payment when contractually due. Past due does not mean that a client will never pay but it can trigger various actions such as renegotiation, enforcement of covenants or legal proceedings.

If appropriate, the estimated recoverable amount of the loan is determined and any impairment loss based on the net present value of future anticipated cash flows is recognised in the financial statements. A provision for impairment is established on all past due loans after a specified period of repayment default where it is probable that some of the asset will not be repaid or recovered.

(ii) Collateral securing loans

The majority of the loan portfolio is secured on real property in Australia. Therefore, QRAA is exposed to risk in the reduction of the Loan to Value (LVR) cover should the property market be subject to a decline.

The risk of loss from the loans undertaken is primarily reduced by the nature and quality of the security taken. At least 90 per cent of loans are well secured against real property mortgages which carry an 80 per cent LVR ratio or less.

(iii) Concentration risks

Concentration risk is a measurement of QRAA's exposure to an individual client or group of clients. QRAA minimises concentrations of credit risk in relation to loans by undertaking transactions with a large number of clients.

Notes

to the financial statements 2011-2012

Note 26. Financial instruments (continuation)

	Maximum credit risk exposure			
	% of total loans		\$'000	
	2013	2012	2013	2012
Geographical area				
Central Queensland	22.70%	20.47%	93,816	78,480
North Queensland	22.57%	26.09%	93,263	100,026
South East Queensland	43.07%	41.26%	177,986	158,195
South West Queensland	8.31%	8.32%	34,327	31,892
West Queensland	3.35%	3.86%	13,857	14,786
Total	100.00%	100.00%	413,249	383,380
Industry				
Aquaculture & fishing	1.64%	1.88%	6,767	7,202
Banana growing	5.96%	7.69%	24,613	29,475
Beef cattle	34.94%	33.43%	144,386	128,156
Dairy cattle	3.75%	4.25%	15,477	16,287
Grain & livestock	9.21%	8.52%	38,082	32,680
Other crops	11.10%	10.73%	45,881	41,160
Other livestock	4.44%	4.97%	18,369	19,061
Small business	6.80%	7.27%	28,095	27,866
Small crops and fruit	6.39%	7.13%	26,419	27,328
Sugar cane	15.77%	14.13%	65,162	54,166
Total	100.00%	100.00%	413,249	383,380

The following table represents QRAA's maximum exposure to credit risk based on contractual amounts net of any allowances:

Maximum exposure to credit risk	2013	2012
Category	\$'000	\$'000
Financial assets		
Loans and advances	413,249	383,380
Receivables	4,502	5,963
Total	417,751	389,343

Financial Assets

QRAA manages credit risk through the use of a credit management strategy. This strategy aims to reduce the exposure to credit default by ensuring that QRAA invests in secure assets and monitors all funds owed on a timely basis. Exposure to credit risk is monitored on an ongoing basis.

All loans and advances are secured by collateral in the form of mortgages, charges and liens (refer Note 1(d)) and the valuation of securities is undertaken annually to ensure sufficient collateral to cover the indebtedness of customers. QRAA policy is to hold security over landed assets which are readily converted to cash.

The credit quality of financial assets that are neither past due nor impaired can be assessed by reference to internal client loan risk classification based on collateral provided by borrowers/recipients:

Notes

to the financial statements 2012-2013

Note 26. Financial instruments (continuation)

Collateral Coverage	2013 \$'000	2012 \$'000
Loans and advances with:		
Full collateral coverage	410,791	382,256
Partial collateral coverage	2,458	1,124
No collateral coverage	-	-
	413,249	383,380

No financial assets and financial liabilities have been offset and presented net in the Statement of Financial Position. The allowance for impairment reflects the occurrence of loss events. The most readily identifiable loss event is where a debtor is overdue in paying a debt to QRAA, according to the due date (normally terms of 30 days).

The method for calculating any provision for impairment is based on past experience, current and expected changes in economic conditions and changes in client credit ratings. The main factors affecting the current calculation for provisions are disclosed below as loss events. These economic and geographic changes form part of QRAA's documented risk analysis assessment in conjunction with historic experience and associated industry data.

If no loss events have arisen in respect of a particular debtor or group of debtors, no allowance for impairment is made in respect of that debt/group of debtors. If QRAA determines that an amount owing by such a debtor does become uncollectible (after appropriate range of debt recovery actions), that amount is recognised as a Bad Debt expense and written-off directly against Loans and Advances. In other cases where a debt becomes uncollectible but the uncollectible amount exceeds the amount already allowed for impairment of that debt, the excess is recognised directly as a Bad Debt expense and written-off directly against Loans and Advances.

The recognised provision for impairment is \$3.002 million for the current year (2012: \$1.520 million).

No financial assets have had their terms renegotiated so as to prevent them from being past due or impaired, and are stated at the carrying amounts as indicated. Ageing of past due but not impaired as well as impaired financial assets within the total loan portfolio of \$330.248 million are disclosed in the following tables:

2013 financial assets past due but not impaired

	Overdue				
	Less than 30 days \$'000	30 - 60 days \$'000	61 - 90 days \$'000	More than 90 days \$'000	Total \$'000
Loans and advances (gross)	19,370	4,382	5,589	13,243	42,584

2012 financial assets past due but not impaired

	Overdue				
	Less than 30 days \$'000	30 - 60 days \$'000	61 - 90 days \$'000	More than 90 days \$'000	Total \$'000
Loans and advances (gross)	13,478	2,651	2,416	9,181	27,726

2013 individually impaired financial assets

	Overdue				
	Less than 30 days \$'000	30 - 60 days \$'000	61 - 90 days \$'000	More than 90 days \$'000	Total \$'000
Loans and advances (gross)	12	14	8	254	288
Provision for impairment	(12)	(14)	(8)	(202)	(236)
Carrying amount	-	-	-	52	52

2012 individually impaired financial assets

	Overdue				
	Less than 30 days \$'000	30 - 60 days \$'000	61 - 90 days \$'000	More than 90 days \$'000	Total \$'000
Loans and advances (gross)	15	11	8	270	304
Provision for impairment	(15)	(11)	(8)	(270)	(304)
Carrying amount	-	-	-	-	-

Notes

to the financial statements 2012-2013

Note 26. Financial instruments (continuation)

Movements in Allowance for Impairment

	2013 \$'000	2012 \$'000
Balance at 1 July	1,520	1,198
Increase/decrease in allowance recognised in operating result	2,218	677
Amounts written-off during the year	(736)	(355)
Balance at 30 June	3,002	1,520

(d) Liquidity Risk

Liquidity risk refers to a situation where QRAA may encounter difficulty in meeting obligations associated with financial liabilities that are settled by delivering cash or another financial asset.

QRAA is exposed to liquidity risk in respect of its payables and borrowings from Queensland Treasury Corporation for on-lending. The borrowings are based on the Queensland Government's gazetted floating rate. QRAA manages liquidity risk through the use of a liquidity management strategy. This strategy aims to reduce the exposure to liquidity risk by ensuring QRAA has sufficient funds available to meet employee and supplier obligations as they fall due. This is achieved by ensuring that minimum levels of cash are held within the various bank accounts so as to match the expected duration of the various employee and supplier liabilities.

The following table sets out the liquidity risk of financial liabilities held by QRAA. It represents the contractual maturity of financial liabilities, calculated based on undiscounted cash flows relating to the liabilities at reporting date as advised by Queensland Treasury Corporation and Australian Government. The undiscounted cash flows in these tables differ from the amounts included in the Statement of Financial Position that are based on discounted cash flows.

Financial liabilities	Note	2013 Payable in			Total
		<1 year \$'000	1-5 years \$'000	>5 years \$'000	\$'000
Payables		902	-	-	902
Australian Government borrowings		8,455	22,943	4,517	35,914
Queensland Government borrowings		7,121	72,520	56,943	136,584
Queensland Treasury Corporation borrowings		1,783	3,763	-	5,546
Total		18,261	99,226	61,460	178,947

Financial liabilities	Note	2012 Payable in			Total
		<1 year \$'000	1-5 years \$'000	>5 years \$'000	\$'000
Payables		1,137	-	-	1,137
Australian Government borrowings		7,909	29,565	6,759	44,233
Queensland Government borrowings		7,142	46,691	73,543	127,376
Queensland Treasury Corporation borrowings		1,783	4,776	757	7,316
Total		17,971	81,031	81,059	180,061

(e) Market Risk

QRAA does not trade in foreign currency and is not materially exposed to commodity price changes. QRAA is exposed to interest rate risk through its borrowings from Queensland Treasury Corporation and cash deposited in interest bearing accounts. QRAA does not undertake any hedging in relation to interest risk and manages its risk as per QRAA's liquidity risk management strategy articulated in QRAA's Financial Management Practice Manual.

(f) Interest Rate Sensitivity Analysis

The following interest rate sensitivity analysis is based on a report similar to that provided to management, depicting the outcome on results if interest rates would change by +/- 1 per cent from the year-end rates applicable to the QRAA's financial assets and liabilities. With all other variables held constant, QRAA would have a surplus and equity increase/(decrease) of \$4.797 million (2012: \$4.478 million). This is mainly attributable to QRAA's exposure to variable interest rates on its loans and advances. The impact of interest rate movement on QRAA's profit and equity has increased in the current period due to increased borrowings for Natural Disaster Relief and Recovery Arrangements assistance Programs.

Notes

to the financial statements 2012-2013

Note 26. Financial instruments (continuation)

Financial instruments	2013 interest rate risk				
	Carrying amount \$'000	-1%		+1%	
		Profit \$'000	Equity \$'000	Profit \$'000	Equity \$'000
Cash and cash equivalents	108,967	(1,090)	(1,090)	1,090	1,090
Loans and advances	330,248	(3,302)	(3,302)	3,302	3,302
Australian Government borrowings	93,326	933	933	(933)	(933)
Queensland Treasury Corporation borrowings	4,931	49	49	(49)	(49)
Overall effect on profit and equity		(3,410)	(3,410)	3,410	3,410

Financial instruments	2012 interest rate risk				
	Carrying amount \$'000	-1%		+1%	
		Profit \$'000	Equity \$'000	Profit \$'000	Equity \$'000
Cash and cash equivalents	116,194	(1,162)	(1,162)	1,162	1,162
Loans and advances	306,695	(3,067)	(3,067)	3,067	3,067
Australian Government borrowings	87,022	870	870	(870)	(870)
Queensland Treasury Corporation borrowings	6,365	64	64	(64)	(64)
Overall effect on profit and equity		(3,295)	(3,295)	3,295	3,295

(g) Fair Value

QRAA does not measure any loans or advances receivable or payable at fair value subsequent to initial recognition. The fair values estimated below are calculated using discounted cash flow analysis and the effective interest method. This method is applied by QTC in calculating the value of the QTC borrowings disclosed below. This method is applied by QRAA for all other items in the tables below.

Financial liabilities	2013		2012	
	Carrying amount	Fair Value	Carrying Amount	Fair value
	\$'000	\$'000	\$'000	\$'000
Financial liabilities at amortised cost				
Queensland Government	43,434	52,801	41,627	53,312
Queensland Treasury Corporation borrowings	4,931	5,174	6,365	6,700
Australian Government Borrowings	93,326	96,980	87,022	90,880
Total	141,691	154,955	135,014	150,892

Financial assets	2013		2012	
	Carrying amount	Fair Value	Carrying Amount	Fair value
	\$'000	\$'000	\$'000	\$'000
Financial assets at amortised cost				
Loans and advances excluding accrued interest	330,248	359,065	306,774	329,832
Total	330,248	359,065	306,774	329,832

The fair value of trade payables, other receivables, and accrued interest are assumed to approximate the value of the original transaction, less any allowance for impairment.

Notes

to the financial statements 2012-2013

Note 27. Board Members' Fees

Remuneration, including meeting fees and superannuation are paid to Board members. QRAA does not reimburse Board members who are government representatives.

	2013	2012
	\$'000	\$'000
Board members remuneration	79	72
Number of Board members receiving remuneration in the following ranges		
\$1 to \$9,999	3	4
\$10,000 to \$19,999	2	-
\$20,000 to \$29,999	-	-
\$30,000 to \$39,999	-	1
\$40,000 to \$49,999	1	-

The Board members of QRAA are:

Wayne Carlson (Chairman)

John Pollock

Georgie Somerset

Dr Elizabeth Woods OAM

Damian Morgan (appointed 3 December 2012)

Mr Christopher Hood (appointed 19 July 2012)

Leigh Pickering (appointed 5 August 2013)

John O'Connell (resigned October 2012)

Joy Cooper (resigned 2 December 2012)

Drew Ellem (resigned 12 June 2013)

Note 28. Contingencies

QRAA did not have any contingent liabilities as at 30 June 2013 (2012: nil).

Certificate of QRAA

These general purpose financial statements have been prepared pursuant to section 62(1) of the *Financial Accountability Act 2009* (the Act), relevant sections of the *Financial and Performance Management Standard 2009* and other prescribed requirements. In accordance with section 62(1)(b) of the Act, we certify that in our opinion:

(a) the prescribed requirements for establishing and keeping of accounts have been complied with in all material respects; and

(b) the statements have been drawn up to present a true and fair view, in accordance with prescribed accounting standards, of the transactions of QRAA for the financial year ended 30 June 2013 and of the financial position of QRAA at the end of that year.



W S CARLSON
Chairperson



J POLLOCK
Chairperson – Audit & Risk Management Committee



C R HOLDEN
Chief Executive Officer



A CRANSWICK
Senior Manager Finance

29 August 2013

Independent Auditor's report

To the Board of QRAA

Report on the Financial Report

I have audited the accompanying financial report of QRAA, which comprises the statement of financial position as at 30 June 2013, the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, notes comprising a summary of significant accounting policies and other explanatory information, and certificates given by the Board and Senior Manager Finance responsible for the financial administration of QRAA.

The Board's Responsibility for the Financial Report

The Board is responsible for the preparation of the financial report that gives a true and fair view in accordance with prescribed accounting requirements identified in the *Financial Accountability Act 2009* and the *Financial and Performance Management Standard 2009*, including compliance with Australian Accounting Standards. The Board's responsibility also includes such internal control as the Board determines is necessary to enable the preparation of the financial report that gives a true and fair view and is free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

My responsibility is to express an opinion on the financial report based on the audit. The audit was conducted in accordance with the *Auditor-General of Queensland Auditing Standards*, which incorporate the Australian Auditing Standards. Those standards require compliance with relevant ethical requirements relating to audit engagements and that the audit is planned and performed to obtain reasonable assurance about whether the financial report is free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial report. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial report, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of the financial report that gives a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control, other than in expressing an opinion on compliance with prescribed requirements. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Board, as well as evaluating the overall presentation of the financial report including any mandatory financial reporting requirements approved by the Treasurer for application in Queensland.

I believe that the audit evidence obtained is sufficient and appropriate to provide a basis for my audit opinion.

Independence

The *Auditor-General Act 2009* promotes the independence of the Auditor General and all authorised auditors. The Auditor-General is the auditor of all Queensland public sector entities and can be removed only by Parliament.

The Auditor-General may conduct an audit in any way considered appropriate and is not subject to direction by any person about the way in which audit powers are to be exercised. The Auditor-General has for the purposes of conducting an audit, access to all documents and property and can report to Parliament matters which in the Auditor-General's opinion are significant.

Opinion

In accordance with s.40 of the *Auditor-General Act 2009* –

- (a) I have received all the information and explanations which I have required; and
- (b) in my opinion –
 - (i) the prescribed requirements in relation to the establishment and keeping of accounts have been complied with in all material respects; and
 - (ii) the financial report presents a true and fair view, in accordance with the prescribed accounting standards, of the transactions of QRAA for the financial year 1 July 2012 to 30 June 2013 and of the financial position as at the end of that year.

Other Matters - Electronic Presentation of the Audited Financial Report

Those viewing an electronic presentation of these financial statements should note that audit does not provide assurance on the integrity of the information presented electronically and does not provide an opinion on any information which may be hyperlinked to or from the financial statements. If users of the financial statements are concerned with the inherent risks arising from electronic presentation of information, they are advised to refer to the printed copy of the audited financial statements to confirm the accuracy of this electronically presented information.


C F DOUGHERTY CPA
as Delegate of the Auditor-General of Queensland



Queensland Audit Office
Brisbane

Glossary

Employee Value Proposition

A statement of QRAA's employment experience including the nature of the organisation, culture, ethics, values and employee benefits.

Operational plan

A plan which identifies the services (projects and activities) the business unit intends to deliver during the plan's timeframe (one year). It also supports the Strategic Plan.

Productivity Loans

First Start and/or Sustainability Loan currently available under the Queensland Government *Primary Industry Productivity Enhancement Scheme*.

Program owner

Government agency / departmental representative which has engaged QRAA to deliver specialist financial administrative services on its behalf.

Right to information

The Queensland Government's approach to providing the community with open access to public information in accordance with right to information legislation which came into effect on 1 July 2009.

Strategic Plan

A document used by QRAA to set its direction, align with the Queensland Government's objectives for the community and provide objectives and strategies for QRAA.

Strategic priorities

The priorities identified for QRAA, which are contained within the Strategic Plan to guide QRAA's performance.

Vision

Specifies what QRAA hopes to become or create. A vision statement takes into account QRAA's current status and serves to point the direction of where QRAA wishes to go.

